

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures and services electric vehicles, energy-storage systems, solar products, charging infrastructure and driver-assistance software. Its reported operations are Automotive and Energy Generation and Storage. Economic exposure also includes paid autonomy software, Supercharging, emerging robotaxi services and the pre-commercial Optimus general-purpose robotics programme.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

348.52 USD

as of report date

TARGET PRICE

108.60 USD

12-month fundamental

IMPLIED UPSIDE

-68.8%

vs. current price

MARKET CAP

USD 1,270 bn

shares × price

ENTERPRISE VALUE

USD 1,277.2 bn

mcap + EV adjustments

P/E 2026E

267.9×

EV/EBITDA 2026E

76.9×

FCF YIELD 2026E

-0.4%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

-0.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 108.60 USD 12-month fundamental	CURRENT PRICE 348.52 USD as of report date	IMPLIED UPSIDE -68.8% vs. current price
MARKET CAP USD 1,270 bn shares × price	ENTERPRISE VALUE USD 1,277.2 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 267.9x · 76.9x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -0.4% · —



01 The margin burden is exceptional

The reverse valuation reaches the controlled market capitalisation only if 2026 EBIT rises to USD 22.6 billion and terminal EBIT margin to 43.2%, versus our maintained model of USD 5.7 billion and 5.4% in 2026.

43.2% terminal EBIT margin implied

02 Permission still constrains robotaxi scale

Nevada granted commercial authority in August 2026, but limited Tesla to 10 vehicles. California still lacked driverless testing or deployment permission as of May. Demand is not the immediate constraint; regulatory approval and safety evidence are.

10 vehicles permitted in Nevada

03 Profitable physical businesses provide a floor

Energy generated USD 3.8 billion of FY2025 gross profit, and Q2 2026 storage deployment reached 13.5 GWh. Core vehicles, charging and current FSD retain meaningful value even if the larger autonomy and robotics options fail.

USD 254.5bn profit-engine EV

THESIS BREAKER

SELL fails if unrestricted unsupervised deployment and economically useful Optimus work are independently verified before the model's 2030 scaling window.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

USD per share, with 12-month target line

— Share price — 12-month target



CURRENT PRICE

348.52 USD

20 August 2026

TARGET PRICE

108.60 USD

12-month

IMPLIED UPSIDE

-68.8%

vs. current

52-WEEK HIGH

498.83 USD

past 12m

52-WEEK LOW

297.38 USD

past 12m

1-YEAR CHANGE

+8.4%

price only

3-YEAR CHANGE

+62.9%

price only

REPORT DATE

20 August 2026

READING THE MOVE

The controlled quote is USD 348.5201. The evidence supports enthusiasm around record Q2 deliveries, 13.5 GWh of storage deployments, FSD regulatory progress and the expected Cybercab launch. Weak Q2 operating margin and limited driverless permissions constrain near-term earnings. Conflicting mid-August market-cap reports are superseded by the immutable USD 1.27 trillion control. Our target assumes a slower conversion of technical progress into cash flow.

VALUE BREAKDOWN · PART 1

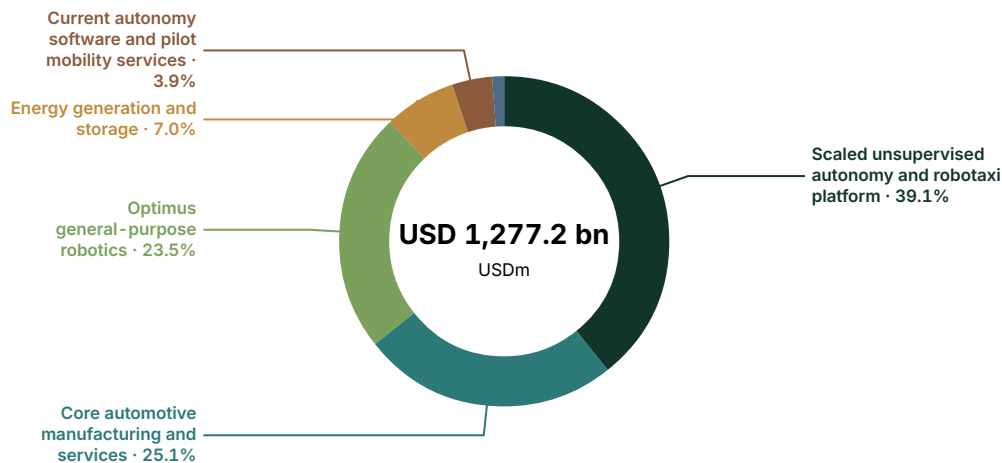
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. "Reported" rows match a verified company-reported segment; "Modelled allocation" rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model's estimate of each division's share of group EBIT. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	EBIT SHARE OF TOTAL (EST.)	BASIS
Scaled unsupervised autonomy and robotaxi platform	500,000	39.1%	0	0.0%	0	-11.0%	Modelled allocation
Core automotive manufacturing and services	320,000	25.1%	76,724	80.9%	11,186	48.0%	Modelled allocation
Optimus general-purpose robotics	300,000	23.5%	0	0.0%	0	-7.0%	Modelled allocation
Energy generation and storage	90,000	7.0%	12,771	13.5%	3,802	38.0%	Reported
Current autonomy software and pilot mobility services	50,000	3.9%	1,732	1.8%	1,386	25.0%	Modelled allocation
Supercharging network	17,246	1.4%	3,600	3.8%	720	7.0%	Modelled allocation
Total	1,277,246	100.0%	94,827	100.0%	17,094	100.0%	

VALUE BREAKDOWN · PART 2

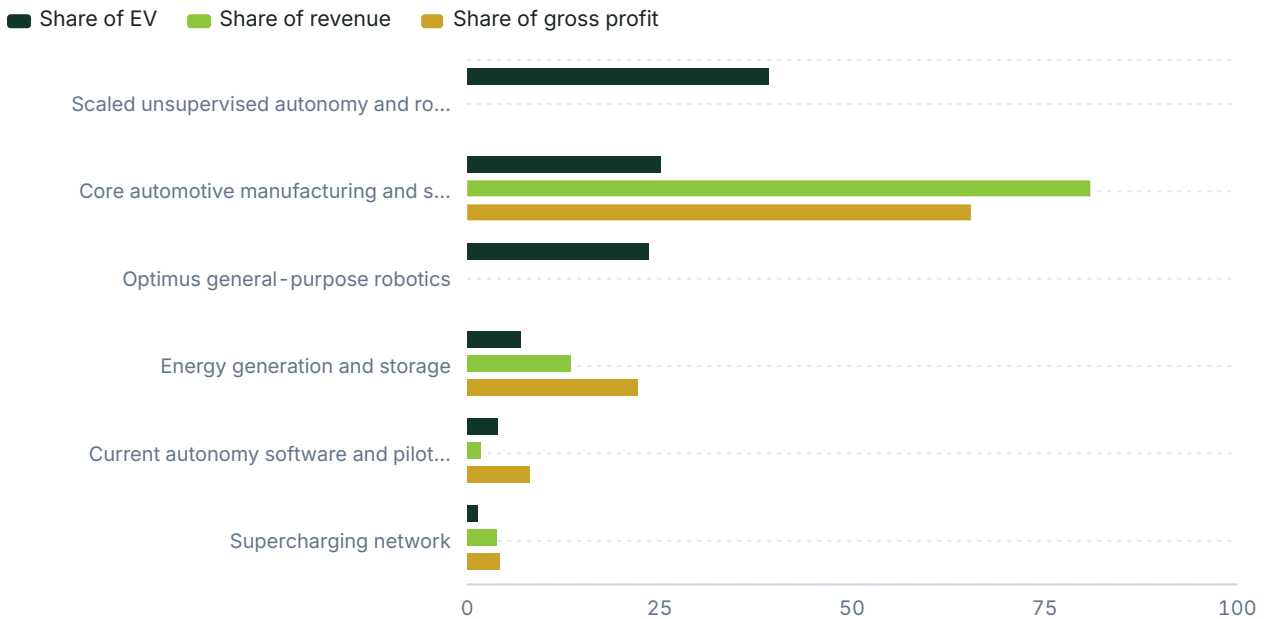
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

The chart allocates the immutable USD 1.28 trillion current enterprise value, not our target EV. Robotaxi and Optimus account for approximately 62.6%, leaving the traded valuation exposed to permission, safety and reliability milestones. Our probability-weighted bridge values the two options at USD 224.4 billion combined, while reported and modelled profit engines contribute USD 254.5 billion of target EV.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. Our 12-month target price is USD 108.6, implying 68.8% downside from the current price of USD 348.52.

At USD 348.5201, Tesla trades on 2026 multiples of 267.91x earnings and 76.86x EV/EBITDA. The market-implied DCF requires EBIT margin to rise from 5.4% in 2026 to 43.2% at maturity, while revenue reaches USD 180.7 billion. This is a margin-intensive path for a group still funding vehicle plants, storage factories, charging sites, AI compute and fleets. Evidence is mixed: Q2 deliveries reached 480,126 and paid FSD users reached 1.48m, but group operating margin was only 1.4%.

The strongest case against SELL is that Tesla has assembled three assets conventional automotive comparisons miss: a large eligible software fleet, 82,357 Supercharger stalls and a rapidly scaling storage business. Netherlands FSD activation and Nevada's August 2026 commercial permit show that regulatory progress is real, while 13.5 GWh of Q2 storage deployments shows physical scale. If these assets generate recurring revenue with limited incremental capital, current consolidated margins understate mature economics.

That case does not close the deployment gap. Waymo was providing more than 500,000 paid rides per week by July 2026. Tesla's Nevada authorisation was capped at 10 vehicles, and cumulative driverless miles were 380,000 by July. Optimus was still a training-data programme, with zero material productive work confirmed at the start of 2026. Our target gives substantial value to both options, but assigns only 35% probability to commercial success in each case.

The rating would move up if Tesla reports independently comparable unsupervised safety data, secures unrestricted driverless deployment permission in California or another major jurisdiction, and demonstrates robotaxi contribution margins before remote-assistance costs. It would move down if automotive gross margin excluding credits falls materially below 16%, energy warranty costs persist, or 2028 group free cash flow remains negative.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Enterprise value has two layers. The observable layer comprises core automotive, current FSD, charging and energy, which together contribute USD 254.5 billion of target EV. The key measures are automotive margin excluding credits, paid FSD users and retention, charging throughput per stall, and energy gross profit per deployed kWh.

The second layer is the robotaxi and Optimus opportunity. Robotaxi depends on unrestricted permission and contribution after remote support. Optimus depends on sustained useful work and uptime. The controlled current EV allocates USD 800 billion to these two businesses, while our probability-weighted target assigns USD 224.4 billion. The USD 575.5 billion difference is the core valuation dispute.

The group model forecasts USD 144 billion of revenue and USD 25.6 billion of EBITDA in 2028, but FCFF remains negative through 2027. Near-term consolidated earnings cannot support the value case on their own. The analysis must be rebuilt by business division and tested against option milestones.

ANALYTICAL ANCHOR

The key question is not whether autonomy or robotics can become large. It is what probability of regulator-approved, economically self-sustaining scale the current EV already discounts.

08.1

Scaled unsupervised autonomy and robotaxi platform

Business division deep dive — Emerging option.

THE PRIZE IS TRANSPORTATION SPENDING, NOT THE CURRENT ROBOTAXI CATEGORY

Unsupervised autonomy could compete for USD 2,789.2bn of annual passenger-car spending in 2026 because a reliable, low-cost service could replace ownership as well as taxis. Future Market Insights published that estimate on 17 February 2026. The immediate ride-hailing market is only USD 266.28bn in 2026, according to Mordor Intelligence on 12 August 2026. Goldman Sachs Research projected a USD 415bn robotaxi market by 2035 on 30 April 2026. These measures differ: ride-hailing covers an established service, robotaxi forecasts an emerging category, and passenger-car spending captures the activity autonomy could displace. AAA reported on 10 March 2026 that owning and operating a new US car costs USD 12,297 annually, or approximately USD 1,025 per month. The prize depends on whether Tesla joins ride-hailing or makes ownership uneconomic for a meaningful number of consumers.

The option analysis uses passenger-car spending but limits Tesla to 1%, 5% or 10% capture and explicitly probability-weights each outcome. The first leg assumes 1% of USD 2,789.2bn, producing USD 27.9bn of revenue and, at the report's assumed 25% EBITDA margin, approximately USD 7.0bn of EBITDA in 2035. The second leg assumes 5% capture, USD 139.5bn of revenue and a 35% EBITDA margin, producing USD 48.8bn of EBITDA. The breakthrough leg assumes 10% capture, USD 278.9bn of revenue and a 40% margin, producing USD 111.6bn of EBITDA. These are the report's derived scale outcomes rather than management guidance or current forecasts, and 65% of aggregate probability remains assigned to no qualifying outcome because unrestricted deployment and proven unit economics may never arrive.

REACHABLE SHARE REQUIRES DENSITY, PERMISSION AND A SERVICE CONSUMERS PREFER

Even 1% of global passenger-car spending requires a repeatable model across many major urban regions, not pilot launches. At Austin's reported USD 3.00 base fare plus USD 1.40 per mile, published by Autoblog and Aaron Smet on 26 June 2026, a representative ten-mile trip generates USD 17.00 before taxes and other fees. The report estimates that USD 27.9bn of annual revenue requires approximately 1.64bn such trips, or about 4.5m daily trips, at an average USD 17.00 fare. At 20 trips per vehicle per day, the 1% case needs roughly 225,000 productive vehicles before downtime or regional imbalance. Under the same assumptions, the 5% and 10% cases require approximately 1.12m and 2.25m vehicles. Small shares of transport spending still require an industrial-scale fleet.

SCALED UNSUPERVISED AUTONOMY AND ROBOTAXI PLATFORM FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED PASSENGER-CAR SPEND

\$2.79tn in 2026

IMMEDIATE RIDE-HAILING MARKET

\$266.28bn

TESLA PILOT FARE

\$3 + \$1.40/mile

LONG-TERM TARGET COST

\$0.20–0.30/mile

CURRENT NEVADA PERMISSION

10 vehicles, Aug 2026

TESLA US ACTIVE-USER SHARE

6% in Jun 2026

BASE OPTION CAPTURE

1–10% of passenger spend

PROBABILITY-WEIGHTED TARGET EV

\$119.85bn

Scaled unsupervised autonomy and robotaxi platform (continued)

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Higher trip length, fares or utilisation could reduce the required fleet, but higher fares weaken substitution against ownership and conventional ride-hailing. Tesla's long-term Cybercab operating-cost target is approximately USD 0.20 per mile, according to Tesla commentary reported by Aaron Smet on 22 June 2026. A Tesla-linked announcement on 7 July 2026 gave a USD 0.20–0.30 range. Lower costs allow lower fares, but lower fares require more rides and vehicles to achieve each revenue case. The model needs low cost per total mile, high occupied utilisation, short waits and enough local density to limit deadheading. Manufacturing solves vehicle supply only; permission, dispatch, remote-support scale, maintenance and demand determine whether vehicles become a transport network.

CURRENT COMPETITIVE EVIDENCE FAVOURS OPERATORS WITH PERMITTED FLEETS

Tesla is not the current leader in commercial driverless use. Waymo provided more than 500,000 paid public rides each week across 11 US metro areas by July 2026, according to Waymo data published on 1 August 2026. Apptopia data reported by CleanTechnica on 8 July 2026 gave Waymo 69% of active monthly US robotaxi users in June, Zoox 25% and Tesla 6%. Yipit data reported by Business Insider on 16 August 2026 estimated Waymo had captured approximately 15% of San Francisco ride-hailing gross bookings by June. Baidu's Apollo Go completed approximately 1m fully driverless rides in Q2 2026, according to Venture Atlas on 20 August 2026. Baidu investor information reported on 19 May 2026 showed a Q1 peak of 350,000 weekly fully driverless rides. These metrics differ, but all show that Tesla has not yet reached commercial driverless scale.

Tesla's advantage is its potential combination of vehicle manufacturing, a large installed fleet and extensive supervised-driving data, rather than current rider scale. Tesla reported 10bn cumulative supervised FSD miles as of May 2026 in information published on 24 July 2026. A July report put cumulative driverless miles across Tesla robotaxi hubs at 380,000 by 31 July 2026. Supervised customer miles are not comparable with paid rider-only miles because a human driver remains responsible and can intervene. AutoPilotWatch and California DMV data published on 15 April 2026 reported 63,415 California autonomous miles per disengagement for Waymo in the year ended 30 November 2025. Tesla did not report comparable Level 4 disengagements because it operated under Level 2 permissions. A meaningful comparison requires driverless collision frequency, remote-assistance frequency, rider-only miles and operating-domain conditions on a basis comparable with permitted fleets.

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Business division deep dive — Emerging option.

COMMERCIAL AND OPERATING BENCHMARKS

- Waymo provided more than 500,000 paid rides per week across 11 US metro areas by July 2026, according to Waymo LLC data published on 1 August 2026.
- Waymo held 69% of US active monthly robotaxi users in June 2026, according to Apptopia data reported by CleanTechnica on 8 July 2026.
- Zoox held 25% of US active monthly robotaxi users in June 2026, according to Apptopia data reported by CleanTechnica on 8 July 2026.
- Tesla held 6% of US active monthly robotaxi users in June 2026, according to Apptopia data reported by CleanTechnica on 8 July 2026.
- Baidu Apollo Go delivered approximately 1,000,000 fully driverless rides in Q2 2026, according to Venture Atlas on 20 August 2026.
- Tesla accumulated 380,000 driverless miles across its robotaxi hubs by July 2026, according to a primary figure reported on 18 August 2026.
- Tesla reported 10bn cumulative supervised FSD miles as of May 2026 in company information published on 24 July 2026, but these were not rider-only miles.

JURISDICTION-BY-JURISDICTION PERMISSION REMAINS THE BINDING CONSTRAINT

Nevada granted Tesla Autonomous Vehicle Network Company Permit 002 on 13 August 2026, according to Teslarati reporting published on 14 August 2026. The permit was commercially relevant but narrow. Electrek reported on 17 August 2026 that Tesla's Nevada fleet was capped at 10 fully autonomous vehicles, limited to the Las Vegas Strip corridor and restricted to 45 mph. Nevada Transportation Authority information published on 18 August 2026 stated that Tesla must reapply to expand beyond 10 vehicles. The cap cannot materially support any valuation scenario, but it can generate evidence under a commercial permit. The investment issue is whether Tesla meets regulatory conditions and wins repeated expansions.

Texas has a more permissive framework but still shows the difference between registration and unsupervised operation. Texas Department of Motor Vehicles information reported by CNBC on 2 June 2026 showed Tesla self-certified 42 Model Y vehicles for SAE Level 4 operation on 28 May. A report dated 19 August 2026 indicated that approximately 186 Model Y vehicles were registered for Austin robotaxi service by July, but only 17 operated unsupervised. Reporting dated 1 August 2026 described driverless service in Miami, Orlando and Tampa, but did not establish comparable fleet counts, operating domains or statutory expansion tests. These permissions provide useful learning environments, but disclosed unsupervised scale remains far below the report's requirement for hundreds of thousands of productive vehicles.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

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Business division deep dive — Emerging option.

California is strategically important because of its market size, technology ecosystem and demanding regulatory structure. As of May 2026, Tesla held only a California autonomous-vehicle testing permit with a driver and lacked driverless testing or deployment permits, according to reporting published on 8 June 2026. The California Public Utilities Commission granted Tesla a Charter-Party Carrier permit in March 2026, but CPUC information reported on 19 March classified it as standard chauffeur transport rather than autonomous deployment. California rules effective 1 July 2026 require autonomous-vehicle companies to report moving violations within 72 hours and collisions within 24 hours, according to official-rule reporting published on 1 May 2026. California contributes no scaled service to the probability assessment until testing and commercial permissions support driverless operation.

SOFTWARE ADOPTION IS AN ASSET, BUT IT DOES NOT PROVE UNSUPERVISED CAPABILITY

Tesla reported 1.48m active FSD Supervised users globally in Q2 2026, in its shareholder update dated 22 July 2026. It also reported that North American attach rates on new deliveries exceeded 55% in Q2, according to shareholder-update information published on 19 August 2026. Tesla moved FSD toward subscriptions in the United States and major European markets at USD 99 per month, according to a Piper Sandler and SEC-based report dated 24 July 2026. Tesla Support published EUR 99 and GBP 99 monthly pricing for major European markets on 22 May 2026. Applying USD 99 for twelve months to all 1.48m users gives illustrative annual billings of USD 1.76bn. This is not reported revenue because the user count includes historical upfront purchasers, prices vary by region, and accounting recognition spans periods and categories.

Tesla's Q2 2026 disclosure indicated that 45% of paid FSD customers subscribed and 55% purchased upfront, according to CFO commentary reported by Drive on 29 July 2026. Applying 45% to 1.48m gives the report estimate of approximately 666,000 subscribers. At USD 99 per month, that implies approximately USD 791m of annual run-rate revenue before churn, taxes, regional pricing and promotions. Tesla's Q2 2026 filing reported USD 4.05bn of deferred revenue for FSD features, internet connectivity and over-the-air updates at 30 June, according to the 10-Q filed on 24 July 2026. The balance confirms monetisation but does not isolate FSD or show standalone software margin. Paid adoption of supervised software shows willingness to pay for driver assistance, not regulator-grade proof of unsupervised operation.

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SAFETY EVIDENCE MUST MOVE FROM SUPERVISED TO RIDER-ONLY STATISTICS

Tesla reported supervised FSD performance in the Netherlands at 1.6 times the safety of manual driving on non-highway roads, according to Eleport on 23 June 2026. This supports product improvement, but not unsupervised performance when no driver can recover the vehicle. Independent AMCI testing reported by Electrek on 26 September 2024 found FSD versions 12.5.1 and 12.5.3 required intervention approximately every 13 miles. Crowdsourced data published by Electric Vehicles News on 3 November 2025 indicated 1,454 miles between critical disengagements for version 14. The methods and software generations differ, reinforcing the need for current, independently comparable data.

Remote assistance affects both safety and economics. Tesla public-policy correspondence reported on 3 April 2026 stated that Remote Assistance Operators in Austin and Palo Alto monitor the fleet and can take direct control in a final emergency escalation. The model can work if one operator assists many vehicles infrequently, but approaches chauffeur economics if interventions are frequent or prolonged. Tesla has not disclosed remote interventions per driverless mile, so labour cost per autonomous mile cannot be reconstructed externally. The probability assessment therefore treats low intervention frequency as unproven.

UNIT ECONOMICS ARE ATTRACTIVE ONLY AFTER UTILISATION AND REMOTE-SUPPORT COSTS

Tesla's Austin pilot charged USD 3.00 plus USD 1.40 per mile, according to Autoblog and Aaron Smet reporting published on 26 June 2026. Waymo was estimated at USD 1.50–2.50 per mile by RideWise on 5 March 2026 and USD 15–17 of average revenue per ride by Sacra on 30 June 2026. Tesla targets long-term Cybercab operating cost of approximately USD 0.20–0.30 per mile, based on Tesla-linked information published on 7 July 2026. At USD 1.40 of mileage revenue and USD 0.30 of direct cost per occupied mile, apparent contribution is USD 1.10. This excludes deadheading, cleaning, insurance, charging losses, depreciation, remote assistance and city overhead. At 35% empty mileage, total distance is 1.35 miles per paid mile and direct running cost is approximately USD 0.41 per paid mile at USD 0.30 per total mile. Under the earlier convention of dividing by a 65% occupied ratio, cost is USD 0.46. The result depends on how deadheading is defined.

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A vehicle completing 60,000 paid miles annually at USD 1.40 per mile generates USD 84,000 of mileage revenue before base fares. Under the report's 35% incremental-deadhead convention, total distance is 81,000 miles and direct running cost is USD 24,300 at USD 0.30 per mile. If depreciation, insurance, cleaning and remote operations total the assumed USD 25,000, EBITDA before platform overhead is approximately USD 34,700 per vehicle. SQ Magazine reported on 23 July 2026 that Tesla's median Austin pilot wait time was 15.32 minutes, versus 5.74 minutes for Waymo. This suggests lower local density or less efficient positioning. Until waits decline, vehicles may complete fewer revenue trips and require more repositioning than the mature model assumes.

Vehicle capital cost is the second major sensitivity. Baiguan reported on 14 April 2026 that Baidu's sixth-generation Apollo RT6 robotaxi costs USD 28,350 per unit, providing a competitor benchmark. Tesla has not disclosed Cybercab COGS, so the report assumes USD 30,000–40,000 at scale. At the USD 35,000 midpoint, a five-year straight-line life and no residual value, annual depreciation is USD 7,000. It is approximately USD 0.12 per paid mile at 60,000 paid miles. At 20,000 paid miles, depreciation rises to USD 0.35 per paid mile before insurance, maintenance or financing. Fleet density and operating hours matter as much as factory cost.

PROBABILITY-WEIGHTED VALUATION AND THE MARKET-IMPLIED BURDEN

The 1% capture case applies the report's 15.0x multiple to approximately USD 7.0bn of 2035 EBITDA, discounts nine years at 7.0% and assigns 20% success probability, producing approximately USD 11.4bn of present EV. The 5% case applies 18.0x to USD 48.8bn, uses the same discount rate and assigns 10%, producing approximately USD 47.8bn. The 10% case applies 20.0x to USD 111.6bn and a 5% probability, producing approximately USD 60.7bn. Total target option value is USD 119.9bn. The cases are mutually exclusive scale outcomes, while their probability-weighted present values represent the option distribution.

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The current-market allocation assigns USD 500.0bn of Tesla's controlled USD 1,277,246m enterprise value to robotaxi in 2026, creating a USD 380.1bn gap to the report's USD 119.9bn target option value. Holding capture, margins, multiples and timing constant, matching USD 500.0bn requires probabilities approximately 4.17 times the report assumptions: about 83%, 42% and 21% for the respective legs if scaled mechanically. As the outcomes overlap conceptually and are intended to be mutually exclusive, the more useful reading is that the traded allocation gives close to full present-value credit for an outcome between the 5% and 10% cases. Fleet scale, jurisdictional caps and non-comparable safety reporting do not support that confidence. The market could still be right if Tesla's manufacturing, data and software advantages accelerate deployment non-linearly, but that acceleration remains a forecast.

WHAT WOULD BREAK THE PROBABILITY ASSESSMENT

The main upside trigger is unrestricted paid unsupervised deployment in at least two major jurisdictions, with collision, intervention and rider-only-mile data independently comparable with established operators. A fleet above 10,000 vehicles, median wait times below eight minutes and positive contribution after remote-assistance expense would show progress beyond pilots. Sustained expansion without regulator-imposed caps would justify raising the 1% and 5% probabilities before assuming the 10% breakthrough case. China approval would also matter. Reporting dated 9 June 2026 placed Tesla's FSD regulatory target in Q3 2026, but supervised-software approval would remain distinct from commercial driverless permission. Cybercab volume production is scheduled to accelerate through 2026 and 2027, according to Tesla information published on 23 April 2026. It matters economically only if permissions and demand absorb the vehicles.

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08.1

Business division deep dive — Emerging option.

The downside trigger is a material safety event, denial or prolonged delay of California driverless deployment, or evidence that remote intervention prevents one operator supervising many vehicles. Tesla paused a nationwide unsupervised rollout until FSD version 15, with readiness projected for late 2026 or early 2027 according to earnings-call reporting published on 3 August 2026. Software timing is therefore a direct probability input. A widening gap between registered and unsupervised vehicles would show that hardware is advancing faster than regulatory or technical readiness. Longer wait times than Waymo would weaken customer experience and economics, while fares near conventional ride-hailing levels would limit ownership displacement. The 65% failure remainder reflects the possibility that Tesla never achieves regulator-grade unsupervised performance at a remote-support cost compatible with modelled margins.

SCALED UNSUPERVISED AUTONOMY AND ROBOTAXI PLATFORM FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED PASSENGER-CAR SPEND

\$2.79tn in 2026

IMMEDIATE RIDE-HAILING MARKET

\$266.28bn

TESLA PILOT FARE

\$3 + \$1.40/mile

LONG-TERM TARGET COST

\$0.20–0.30/mile

CURRENT NEVADA PERMISSION

10 vehicles, Aug 2026

TESLA US ACTIVE-USER SHARE

6% in Jun 2026

BASE OPTION CAPTURE

1–10% of passenger spend

PROBABILITY-WEIGHTED TARGET EV

\$119.85bn

COMMERCIAL ROBOTAXI DEPLOYMENT COMPARISON

OPERATOR	COMMERCIAL SCALE OR SHARE	OPERATING EVIDENCE	SOURCE AND DATE
Tesla	6% of US active monthly robotaxi users in June 2026	380,000 cumulative driverless miles by July 2026; Nevada commercial fleet capped at 10 vehicles	Apptopia via CleanTechnica, 8 July 2026; reported primary figure, 18 August 2026; Nevada Transportation Authority reporting, 18 August 2026
Waymo	69% of US active monthly robotaxi users in June 2026	More than 500,000 paid rides per week across 11 US metro areas by July 2026	Apptopia via CleanTechnica, 8 July 2026; Waymo LLC, 1 August 2026
Zoox	25% of US active monthly robotaxi users in June 2026	Second-largest US operator by active monthly users under the cited app-based measure	Apptopia via CleanTechnica, 8 July 2026
Baidu Apollo Go	Approximately 1,000,000 fully driverless rides in Q2 2026	Peak of 350,000 fully driverless rides per week in Q1 2026	Venture Atlas, 20 August 2026; Baidu Investor Relations information reported 19 May 2026

08.2

Core automotive manufacturing and services

Business division deep dive — Profit engine.

THE PRIZE IS THE FULL COST OF PERSONAL MOBILITY, NOT ONLY EV SALES

Core automotive competes for USD 2,789.2bn of annual passenger-car spending in 2026, estimated by Future Market Insights on 17 February 2026, rather than only for a narrowly defined EV market. Fortune Business Insights valued the global EV market at USD 927.69bn in 2025 in research published on 3 August 2026. The difference matters because electrification changes propulsion and competitive position but does not create all spending already directed to vehicle acquisition. AAA reported on 10 March 2026 that owning and operating a new US car costs USD 12,297 annually, including costs a manufacturer captures only partly. The valuation uses observable vehicle-manufacturing revenue rather than capitalising fuel, third-party insurance, external financing and other ownership expenses as Tesla revenue.

Tesla's required share of global car spending is modest, but its required profitability is demanding. Core automotive revenue of approximately USD 75–90bn equals only about 2.7–3.2% of the USD 2,789.2bn market, based on the report's calculation. At the Q2 2026 ASP of approximately USD 42,738, reported by EV on 23 July 2026 from USD 20.52bn of automotive revenue, USD 80bn of annual vehicle revenue equals approximately 1.87m vehicle-equivalents before leases and services. That is close to Tesla's recent delivery scale. The key issue is whether pricing, utilisation, product mix and service attachment can restore EBITDA margins sufficient for a premium industrial multiple.

REACHABLE SHARE DEPENDS ON PRESERVING SCALE WHILE THE MARKET FRAGMENTS

Tesla produced 451,758 vehicles and delivered 480,126 in Q2 2026, according to Tesla Investor Relations and its SEC filing dated 22 July 2026. Deliveries exceeded production by 28,368 vehicles, indicating inventory absorption rather than a build-up. BYD delivered 557,090 battery-electric passenger vehicles in Q2 2026, according to EV tracker reporting dated 3 July 2026, approximately 16% more than Tesla under the cited measures. Statista and INDmoney reported on 5 January 2026 that BYD sold 2.26m BEVs in 2025, versus Tesla's 1.64m deliveries. Tesla remains one of the two largest global BEV producers, but global volume leadership is no longer uncontested.

CORE AUTOMOTIVE MANUFACTURING AND SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 76,724m

MODEL ESTIMATE GROSS PROFIT

USD 11,186m

FY2025 MODELLED REVENUE

\$76.7bn

MODELLED GROSS MARGIN

14.6%

Q2 2026 DELIVERIES

480,126

Q2 2026 REPORTED ASP

\$42,738

AUTOMOTIVE GM EX-CREDITS

16.3%

ESTIMATED PLANT UTILISATION

70–75% in 2025

Q1 GLOBAL BEV SHARE

12.9%

TARGET BRIDGE

12.0x 2028E EBITDA

08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

Market-share data show how quickly leadership can change. TrendForce estimated on 27 May 2026 that Tesla led global BEVs in Q1 with 12.9%, ahead of BYD at 10.9%, Geely at 5.5% and Xiaomi at 2.9%. In Q2, BYD's reported 557,090 BEV deliveries exceeded Tesla's 480,126, although no directly comparable full-market share was provided. China Passenger Car Association data published on 13 August 2026 placed BYD at 23.5% of China's NEV market in July. Tesla can maintain substantial revenue without leading every quarter, but fragmented regional leadership raises the risk that feature gains and manufacturing savings pass to customers through lower prices.

REGIONAL STRENGTH IS CONCENTRATED IN THE UNITED STATES

Kelley Blue Book estimated on 10 July 2026 that Tesla represented approximately 50% of US EV sales in H1 2026, while INDmoney reported 52% on 12 August 2026. The estimates differ slightly, so the report uses approximately one-half rather than false precision. The Motley Fool reported 59% for March 2026 on 10 March, but this was a single-month result after federal tax credits for competitors ended and is not substituted for the half-year estimate. A roughly 50% domestic EV share supports brand recognition, service demand and manufacturing scale. It also creates concentration risk as broader incumbent and new-entrant line-ups make retaining half of a maturing category harder.

Outside the United States, Tesla competes against stronger local champions. Volkswagen Group reported on 13 April 2026 that it held 20.0% of European BEV sales in Q1. TeslAnt reported on 25 July 2026 that Tesla and BYD each represented 2.4% of the total European car market in H1. In China, BYD's 23.5% July NEV share, reported by the China Passenger Car Association on 13 August 2026, sits alongside rapid launches from Geely and Xiaomi. The measures are not directly comparable, but each identifies the relevant local benchmark. Tesla's global manufacturing system must meet differing pricing, regulatory and feature requirements without losing the simplicity behind its cost structure.

CORE AUTOMOTIVE
MANUFACTURING AND
SERVICES FACT SHEET

PROFIT ENGINE

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USD 76,724m

MODEL ESTIMATE GROSS PROFIT

USD 11,186m

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12.9%

TARGET BRIDGE

12.0x 2028E EBITDA

08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

COMPETITIVE SCALE AND REGIONAL POSITION

- Tesla delivered 480,126 vehicles in Q2 2026, according to Tesla Investor Relations and an SEC filing dated 22 July 2026.
- Tesla held an estimated 12.9% of global BEV sales in Q1 2026, according to TrendForce on 27 May 2026.
- BYD delivered 557,090 battery - electric passenger vehicles in Q2 2026, according to EV tracker reporting on 3 July 2026.
- BYD held 23.5% of China's NEV market in July 2026, according to China Passenger Car Association data published on 13 August 2026.
- Volkswagen Group held 20.0% of European BEV sales in Q1 2026, according to Volkswagen Group on 13 April 2026.
- Geely held an estimated 5.5% of global BEV sales in Q1 2026, according to TrendForce on 27 May 2026.
- Xiaomi held an estimated 2.9% of global BEV sales in Q1 2026, according to TrendForce on 27 May 2026.

CAPACITY MATTERS ONLY IF COST REDUCTIONS OUTPACE PRICE REDUCTIONS

Inovev estimated on 21 May 2024 that Tesla's annual global production capacity was 2.35m vehicles across Shanghai, Fremont, Berlin and Austin. Schmidt Automotive Research estimated on 2 October 2025 that utilisation was approximately 70–75%, based on 1.71m rolling deliveries. At the 72.5% midpoint, the report calculates unused capacity of approximately 646,000 units, or 2.35m multiplied by 27.5%. This headroom can create operating leverage if incremental demand is served without building another full assembly footprint. It becomes a fixed -cost burden if demand requires discounting or model -specific tooling limits usable capacity.

The Q2 2026 automotive gross margin excluding regulatory credits was 16.3%, according to Anadolu Ajansı on 23 July 2026. At the reported Q2 automotive revenue of USD 20.52bn, the report's simple application of 16.3% implies approximately USD 3.34bn of automotive gross profit before considering differences between the cited margin and revenue definitions. A two -percentage -point margin change on that quarterly revenue base equals roughly USD 410m of gross profit, illustrating the sensitivity to pricing and cost. Annualising a single quarter is not a forecast, but USD 20.52bn multiplied by four gives USD 82.08bn of revenue, close to the division's existing scale. If gross margin remains in the mid -teens, core automotive can be profitable but does not independently justify software -like valuation multiples.

CORE AUTOMOTIVE MANUFACTURING AND SERVICES FACT SHEET

PROFIT ENGINE

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USD 76,724m

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08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

Estimated 70–75% utilisation changes how delivery growth should be read. Filling midpoint unused capacity of roughly 646,000 units at the Q2 ASP of USD 42,738 represents approximately USD 27.6bn of gross vehicle-revenue capacity, based on the report's calculation. This is not a revenue forecast because plant mix, model mix, pricing and line constraints can reduce usable capacity. It nevertheless shows that meaningful volume growth could come from better absorption rather than another wave of greenfield spending. The condition is that incremental units add contribution without price cuts that offset the fixed-cost benefit.

MANUFACTURING LEADERSHIP IS REAL, BUT PEER LOSSES DO NOT SET THE VALUE CEILING

Ford's Model e division lost approximately USD 22,000 per vehicle sold in Q2 2025, according to EVWire on 31 July 2025. Rivian reported a USD 32,705 gross loss per vehicle delivered in Q2 2024 through an SEC-based disclosure dated 7 August 2024. These comparisons show how difficult profitable EV production is and confirm Tesla's positive automotive gross margin as a manufacturing achievement. They do not mean that every positive margin warrants a technology-company multiple. Investors receive cash flow, not credit for outperforming loss-making entrants. Tesla must be judged against scaled global manufacturing economics as well as less mature EV programmes.

BYD's Q1 2026 net income fell 55.4% year on year to CNY 4.09bn amid price wars and subsidy changes, according to BYD reporting carried by Pan Finance on 1 May 2026. Scale, vertical integration and volume leadership do not eliminate pricing risk. Tesla faces the same tension: lower battery and manufacturing costs can reduce unit cost, but competitors can use their savings to cut prices. A cost advantage is valuable only to the extent Tesla retains it. Sustained price competition would pass technological gains to consumers rather than create durable divisional EBITDA.

PRODUCT ARCHITECTURE MUST BROADEN WITHOUT RECREATING LAUNCH INEFFICIENCY

Tesla's product portfolio was in transition in 2026. TopElectricSUV reported on 12 August 2026 that refreshed Semi series production began at Giga Texas in April. Green Drive reported on 3 April 2026 that Cybercab had entered mass production there. RAC Drive reported on 1 May 2026 that Tesla planned to end Model S and Model X production before the second half of 2026. Replacing low-volume flagships can reduce legacy complexity and free factory space, but Semi, Cybercab and future products create tooling, supply-chain and ramp risks. The core automotive carve-out places Cybercab platform economics in the robotaxi option to avoid double counting autonomy value.

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08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

Commercial vehicles can expand revenue, but evidence does not yet establish Semi's steady-state volume, ASP or margin. Cybercab production shows manufacturing activity, not that regulators or fleet utilisation can absorb vehicles at scale. Ending Model S and Model X may reduce complexity but removes premium-priced models whose contribution may not be replaced immediately. The report assigns no separate product-line premiums without observable divisional earnings. A successful transition would first appear in utilisation, inventory, gross margin excluding credits and lower launch cost per unit.

SERVICES IMPROVE LIFETIME ECONOMICS BUT REQUIRE DISCIPLINED CARVE-OUTS

Tesla's Services and Other revenue reached USD 3.75bn in Q1 2026, up 42% year on year, according to SEC-based data published by Tesla Statistics 2026 on 19 May 2026. MLQ.ai reported from Tesla's Q2 filing on 8 August 2026 that Services and Other revenue reached a record USD 4.58bn in Q2. The category includes activities with different economics, including charging and FSD subscriptions, and cannot be treated as pure maintenance or conventional automotive service revenue. Electrek reported on 23 July 2025 that Services and Other gross margin was 5.5% in Q2 2025. The report separates charging and current-autonomy economics where modelled to prevent higher-multiple activities inflating core manufacturing value.

The FY2025 core-revenue estimate starts with the verified Automotive segment's USD 82.056bn of external revenue and subtracts USD 1.7bn of modelled current-autonomy revenue and USD 3.6bn of modelled charging revenue, producing approximately USD 76.7bn. The USD 82.056bn reported figure comes from Tesla's FY2025 Form 10-K segment table on page 97, where Automotive represented 86.5% of group revenue. The same filing reported USD 13.292bn of Automotive gross profit, or 77.8% of group gross profit. Subtracting the report's allocated USD 1.4bn of current-autonomy gross profit and USD 720m of charging gross profit produces approximately USD 11.2bn for the core carve-out. Dividing USD 11.2bn by USD 76.7bn gives a modelled gross margin of approximately 14.6%, which is a report estimate rather than a company-reported subdivision.

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08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

The carve-out is deliberately conservative because Tesla does not disclose a standalone profit statement for vehicles, conventional service, charging and FSD on the report's valuation basis. It also avoids valuing software or infrastructure separately while leaving their earnings in automotive EBITDA. The FY2025 Automotive figures are reported; the deductions are transparent modelling assumptions. If charging or FSD gross profit is lower than allocated, core gross profit would be higher, but the separately valued divisions would fall by the same amount. The consolidated valuation control is Tesla's immutable 2026 enterprise value of USD 1,277,246m, so carve-outs cannot create current EV through double counting.

CASH GENERATION REQUIRES MARGIN RECOVERY WHILE INVESTMENT REMAINS HEAVY

Tesla's consolidated financial history shows the manufacturing burden, although it does not disclose divisional cash flow. Group revenue declined 2.9% to USD 94.827bn in 2025, while EBITDA fell to USD 10.503bn and EBIT to USD 4.355bn in the authoritative Valuatum model. Gross capital expenditure was USD 11.201bn in 2025 and FCFF was negative USD 383m. The model forecasts gross capital expenditure of USD 19.354bn in 2026 and USD 21.690bn in 2027. Group FCFF remains negative USD 4.454bn and negative USD 2.999bn, respectively. These figures include autonomy, energy and other investments, but show that unused automotive capacity does not remove Tesla's broader capital requirements.

The balance sheet provides flexibility, not proof of returns. The authoritative model reports net cash of USD 8.137bn at year-end 2025, expressed as negative net debt, and forecasts negative net debt of USD 3.481bn in 2026. A 2.16x current ratio at year-end 2025 and 60.1% equity ratio reduce near-term financing pressure. Consolidated invested capital is forecast to rise from USD 74.728bn in 2025 to USD 100.939bn in 2028, while after-tax return on beginning capital reaches only 10.0% in 2028. Core automotive must improve cash generation and asset utilisation rather than rely on balance-sheet strength to support low-return capacity.

CORE AUTOMOTIVE
MANUFACTURING AND
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08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

VALUATION DEPENDS ON AN ACHIEVABLE BUT UNPROVEN EBITDA RECOVERY

The target bridge assigns USD 8.5bn of 2028 EBITDA to core automotive and applies a 12.0x multiple, producing USD 102.0bn of EV. On approximately USD 80bn of revenue, this requires a 10.6% EBITDA margin. It is achievable if utilisation rises, material and battery costs fall, service activity offsets price competition and launches avoid extended inefficiency. It is not supported if automotive gross margin remains in the mid-teens while operating expenses, depreciation and launch costs absorb most gross profit. The 12.0x multiple already reflects Tesla's scale, direct distribution, brand and software attachment, so the model adds no separate brand value.

The current-market decomposition allocates USD 320.0bn of controlled USD 1,277,246m EV to core automotive, well above the USD 102.0bn target. Against USD 8.5bn of EBITDA, that allocation implies 37.6x mechanically, although it is a decomposition of traded EV rather than an explicit market multiple. Raising the 12.0x multiple to 18.0x adds USD 51.0bn of EV, or approximately USD 12.91 per controlled share using 3,950m shares, before any EV-to-equity bridge adjustment. Even this would not close the full gap. The market therefore assumes higher core earnings, a much higher manufacturing multiple, or option value allocated elsewhere in the report.

CORE AUTOMOTIVE MANUFACTURING AND SERVICES FACT SHEET

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TARGET BRIDGE

12.0x 2028E EBITDA

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2

Core automotive manufacturing and services (continued)

Business division deep dive — Profit engine.

WHAT BREAKS THE CASE

The upside case requires sustained automotive gross margin above 20% excluding regulatory credits, while annual deliveries exceed practical installed capacity without equivalent capital intensity. On the report's USD 76.7bn core-revenue estimate, a 20% gross margin implies approximately USD 15.3bn of gross profit, around USD 4.1bn above the modelled USD 11.2bn. This could support EBITDA well above USD 8.5bn if operating costs do not rise proportionately. Pricing power across the United States, Europe and China would also support a higher multiple by showing Tesla retains cost reductions rather than passing them through lower ASP. Services would add upside only if disclosed or reconstructable margins improve with revenue.

The downside case is utilisation remaining around 70% while ASP continues to fall. Each five-percentage-point gross-margin decline on USD 76.7bn of revenue removes approximately USD 3.8bn of annual gross profit, based on the report's calculation. Inventory growth while production exceeds deliveries would show that nominal capacity is not producing demanded vehicles. Replacing profitable premium vehicles with pre-scale programmes would further delay EBITDA recovery even if headline capacity rises. The main indicators are automotive gross margin excluding credits, inventory and practical utilisation, followed by regional share, ASP and delivery volume.

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70–75% in 2025

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12.9%

TARGET BRIDGE

12.0x 2028E EBITDA

SCALED EV MANUFACTURING COMPARISON

MANUFACTURER	SCALE OR MARKET POSITION	PROFITABILITY OR REGIONAL EVIDENCE	SOURCE AND DATE
Tesla	480,126 vehicle deliveries in Q2 2026; estimated 12.9% global BEV share in Q1 2026	16.3% automotive gross margin excluding regulatory credits in Q2 2026	Tesla Investor Relations / SEC, 22 July 2026; TrendForce, 27 May 2026; Anadolu Ajansı, 23 July 2026
BYD	557,090 battery-electric passenger-vehicle deliveries in Q2 2026; 23.5% of China's NEV market in July 2026	Q1 2026 net income fell 55.4% year on year to CNY 4.09bn	EV tracker reporting, 3 July 2026; China Passenger Car Association, 13 August 2026; BYD reporting via Pan Finance, 1 May 2026
Volkswagen Group	20.0% of European BEV sales in Q1 2026	Regional scale benchmark; comparable divisional margin not supplied in the evidence register	Volkswagen Group, 13 April 2026
Geely Holding Group	Estimated 5.5% of global BEV sales in Q1 2026	Third-ranked global BEV group under the cited Q1 share estimate	TrendForce, 27 May 2026
Xiaomi	Estimated 2.9% of global BEV sales in Q1 2026	Entered the global top-ten BEV ranking in early 2026	TrendForce, 27 May 2026

08.3

Optimus general-purpose robotics

Business division deep dive — Emerging option.

THE PRIZE IS LABOUR EXPENDITURE, BUT TODAY'S MARKET IS TINY

Humanoid robots could theoretically address a USD 60tn global labour pool, according to Humanoid Robot Market's May 2026 analysis, while ARK estimates USD 24tn of annual robot-labour value by 2050. The actual 2025 humanoid market was only USD 4.89bn according to Fortune Business Insights, or USD 7.9bn according to Global Market Insights. These figures are not comparable: labour spending is displaced activity, while humanoid-market revenue measures today's product category. Our option cases use the labour pool but assume Tesla captures only 0.05%, 0.20% or 0.50%.

These shares produce USD 30bn, USD 120bn and USD 300bn of 2035 revenue. At EBITDA margins of 25%, 30% and 35%, the cases generate USD 7.5bn, USD 36bn and USD 105bn of EBITDA. This assumes a mix of robot sales, leasing and service revenue, not that Tesla receives all displaced wages. The low shares reflect continuing competition from fixed automation, specialist robots and human labour.

TESLA IS NOT THE CURRENT SHIPMENT OR REVENUE LEADER

Tesla was estimated to have shipped 150 Optimus units in 2025, tied with Figure AI and Agility Robotics. Unitree delivered 5,500 and produced 6,500. Chinese companies accounted for approximately 90% of global humanoid shipments. UBTech led 2025 revenue share at 14% and reported RMB 820m of full-size humanoid revenue. AGIBOT overtook Unitree in H1 2026 shipment rankings, showing how quickly early leadership can change.

- Tesla Optimus: 150 estimated 2025 shipments and no external commercial revenue disclosed.
- Unitree: 5,500 delivered and 6,500 produced in 2025.
- UBTech: 14% 2025 revenue share and RMB 820m full-size humanoid revenue.
- AGIBOT: ranked first in H1 2026 shipments as the market grew 272% year on year.

Tesla's potential advantages are manufacturing integration, proprietary training data and an internal customer. Several hundred to approximately 1,000 units were reportedly deployed at Fremont and Texas for data collection. However, Tesla confirmed in Q4 2025 earnings that no Optimus robots were doing material productive work as of January 2026. Internal deployment is not the same as economically useful work.

THE TECHNICAL GATE IS SUSTAINED USEFUL WORK, NOT A STAGED DEMONSTRATION

Gen 3 was reported with 22 hand degrees of freedom and 50 actuators, a sustained 20 kg carry capacity and 68 kg deadlift. Estimated runtime is eight to 12 hours from a 2.3 kWh battery. These specifications suit many material-handling tasks, but manipulation repeatability of approximately 5 mm compares poorly with 0.03 mm for established industrial cobots. Generality matters only if it offsets lower precision and reliability.

OPTIMUS GENERAL - PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

LABOUR SPEND OPPORTUNITY

\$60tn

2025 HUMANOID MARKET

\$4.89–7.9bn

TESLA 2025 SHIPMENTS

150 units est.

CURRENT PRODUCTIVE WORK

Zero confirmed Jan 2026

SUSTAINED CARRY

20 kg

ESTIMATED RUNTIME

8–12 hours

BASE OPTION CAPTURE

0.05–0.50% of labour spend

PROBABILITY-WEIGHTED TARGET EV

\$104.60bn

08.3

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

Estimated Optimus uptime of 80% is well below 99.9% for established industrial robots. At 80% uptime, an eight-hour shift provides only 6.4 productive hours before task failures and human assistance. If one technician supports five robots at an assumed USD 80,000 fully loaded cost, supervision adds USD 16,000 per robot annually. This can eliminate the labour-saving case for simple factory work unless robot cost is low and reliability improves.

Safety is also a commercial gate. No official ISO 10218-1 collaborative certification was identified, and a 2025 Fremont robotic-arm injury shows the importance of validated human-robot operation, although it was not confirmed as an Optimus incident. The required evidence is sustained task completion around workers, with measured interventions, cycle time and near-miss reporting. Tesla's next milestone is independently verifiable unsupervised useful work, targeted for late 2026 or early 2027, rather than unit production alone.

MANUFACTURING INVESTMENT SHOWS COMMITMENT, NOT PROOF

Tesla began dismantling Model S and Model X lines at Fremont in May 2026 to install a dedicated Optimus line. This shows capital commitment and could leverage automotive procurement and power electronics. It also increases opportunity cost if productive capability is delayed. A factory can produce units before customers can justify operating them, as early humanoid shipment leaders show.

Assume a USD 35,000 robot sale price and USD 25,000 manufacturing cost at scale, neither disclosed. A customer replacing USD 45,000 of annual loaded labour receives attractive payback only if the robot completes most of a shift without frequent supervision. At 80% uptime and USD 16,000 of allocated technician cost, net gross labour saving falls to approximately USD 20,000 before maintenance and financing. Raising uptime to 95% and support to one technician per 20 robots adds roughly USD 12,000 of annual customer value. Reliability matters more than a small hardware-cost reduction.

PROBABILITY-WEIGHTED VALUATION

The 0.05% labour-capture case applies 15.0x to USD 7.5 billion of 2035 EBITDA, discounts nine years at 7.0% and assigns 20% probability, producing USD 12.2 billion. The 0.20% case applies 18.0x to USD 36 billion and assigns 10%, producing USD 35.2 billion. The 0.50% case applies 20.0x to USD 105 billion and assigns 5%, producing USD 57.1 billion. Total target option value is USD 104.6 billion, despite a 65% probability of no material commercial value.

OPTIMUS GENERAL-PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

LABOUR SPEND OPPORTUNITY

\$60tn

2025 HUMANOID MARKET

\$4.89–7.9bn

TESLA 2025 SHIPMENTS

150 units est.

CURRENT PRODUCTIVE WORK

Zero confirmed Jan 2026

SUSTAINED CARRY

20 kg

ESTIMATED RUNTIME

8–12 hours

BASE OPTION CAPTURE

0.05–0.50% of labour spend

PROBABILITY-WEIGHTED TARGET EV

\$104.60bn

08.3

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

The controlled current-EV allocation assigns USD 300 billion to Optimus, almost three times our probability-weighted value. Figure AI's reported USD 39bn private valuation is a useful market reference, but offers no unit economics and is well below Tesla's current allocation. Supporting USD 300bn under our economic cases would require probabilities of roughly 57%, 29% and 14%, rather than 20%, 10% and 5%, or higher margins and market capture.

WHAT WOULD BREAK THE ASSESSMENT

The upside trigger is a published cohort of at least 1,000 robots completing economically useful tasks for six months with more than 95% uptime, documented cycle times and limited human intervention. External paid orders at disclosed prices would validate willingness to pay. The downside trigger is training-only use through 2027, lack of safety certification, or supervision requirements that prevent labour savings. The 65% failure remainder reflects the risk that general-purpose manipulation does not achieve industrial reliability at an acceptable cost.

OPTIMUS GENERAL - PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

LABOUR SPEND OPPORTUNITY

\$60tn

2025 HUMANOID MARKET

\$4.89-7.9bn

TESLA 2025 SHIPMENTS

150 units est.

CURRENT PRODUCTIVE WORK

Zero confirmed Jan 2026

SUSTAINED CARRY

20 kg

ESTIMATED RUNTIME

8-12 hours

BASE OPTION CAPTURE

0.05-0.50% of labour spend

PROBABILITY-WEIGHTED TARGET EV

\$104.60bn

HUMANOID ROBOTICS COMMERCIAL EVIDENCE

COMPANY	2025 SHIPMENT/REVENUE	LATEST POSITION	COMMERCIAL PROOF
Tesla Optimus	150 units est.	Training/data collection	Zero productive work
Unitree	5,500 delivered	2025 volume leader	6,500 produced
UBTech	RMB 820m revenue	14% revenue share	Industrial sales
AGIBOT	H1 volume #1	Overtook Unitree	Shipment leadership

08.4

Energy generation and storage

Business division deep dive — Profit engine.

STORAGE COMPETES FOR GRID RESILIENCE, PEAKING CAPACITY AND AVOIDED CURTAILMENT

Energy storage competes for spending on grid reinforcement, peaking generation, backup power and losses from unreliable or constrained electricity systems. The IEA stated on 20 August 2026 that annual global grid expenditure must rise from approximately USD 400bn to USD 600bn by 2030. Fortune Business Insights valued the peaking-power-plant market at USD 131.89bn in 2025 and USD 138.93bn in 2026, in research published on 20 July 2026. The same publisher valued the diesel-generator market at USD 22.33bn in 2025 on 3 August 2026. Oak Ridge National Laboratory data reported through BloombergNEF on 17 August 2026 estimated US outages imposed USD 121bn of direct customer costs in 2024. These pools overlap and should not be added; they identify spending and losses storage can displace.

Physical battery deployment is the more immediate market anchor. BloombergNEF and Wood Mackenzie estimates published on 27 March 2026 put global BESS deployments at 162 GWh in 2025 and 215 GWh in 2026. Tesla deployed 46.7 GWh in 2025, up 49% year on year, according to Tesla data reported by Discovery Alert on 8 February 2026. Holding deployment flat against the 215 GWh 2026 market gives a derived 21.7% share, but this is not a published market-share figure because shipment, integration and commissioning methods differ. The valuation uses Tesla's verified segment revenue and profit with physical deployments rather than any one third-party ranking.

REACHABLE SHARE IS SUPPORTED BY DEPLOYMENT SCALE BUT DISPUTED BY RANKING METHODOLOGY

Tesla and major Chinese competitors operate at global scale, although rankings differ by methodology. Benchmark Mineral Intelligence data reported by Electrek on 13 May 2026 placed BYD first among BESS integrators in 2025 with 13% share and Tesla at 10%, with BYD shipments above 60 GWh and Tesla deployments of 46.7 GWh. Wood Mackenzie reporting published on 6 July 2026 ranked Tesla first, Sungrow second and BYD third for 2025. The difference likely reflects shipments, commissioned deployments, integrator responsibility, geography and product scope. Tesla's own deployments and verified segment gross profit are more useful for valuation than selecting between incompatible rankings.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

USD 3,802m

FY2025 GROSS MARGIN

29.8%

2025 STORAGE DEPLOYMENT

46.7 GWh

Q2 2026 DEPLOYMENT

13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

08.4

Energy generation and storage (continued)

Business division deep dive — Profit engine.

Tesla also has a strong residential-storage position under available estimates, although utility-scale Megapack drives larger deployment volumes. Straits Research estimated on 13 July 2026 that Tesla held 21% of global residential energy storage in 2025, ahead of LG Electronics at 16%. AgentSolar AI reported on 18 August 2026 that Tesla represented 65% of US residential battery installation quotes, against 16.6% for Enphase and 9.9% for SolarEdge. Quote share is not completed-installation or revenue share and should not be combined with global utility-scale rankings. The evidence nevertheless shows Tesla operates at both utility and residential scale, while segment filings do not separate storage from solar-generation economics.

CAPACITY CONVERSION, NOT ANNOUNCED CAPACITY, DRIVES VALUE

Tesla deployed a record 13.5 GWh of energy-storage products in Q2 2026, according to Tesla Investor Relations on 2 July 2026. Annualising this result gives a 54 GWh run rate, approximately 15.6% above 46.7 GWh delivered in 2025. SDVGuru estimated on 18 November 2025 that Lathrop Megafactory would reach full 40 GWh annual capacity in H2 2026. A 54 GWh run rate therefore requires output beyond one 40 GWh facility, or deployment from inventory and other production sources. The test is whether factories convert cells and equipment into commissioned projects without delays, warranty leakage or excess working capital.

SDVGuru reported on 18 November 2025 that Megapack 2 XL volume orders above 50 units were quoted at approximately USD 235 per kWh in 2025–2026. Applying this reference to 54 GWh gives estimated annual product value of USD 12.69bn before solar and services. This is directionally consistent with verified FY2025 Energy generation and storage revenue of USD 12.771bn, although the figures should not match because product mix, timing, services and revenue recognition differ. FY2025 revenue was 13.5% of Tesla's USD 94.827bn group revenue, according to page 97 of Tesla's FY2025 Form 10-K. Deployments and revenue support a business already operating at material scale.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

USD 3,802m

FY2025 GROSS MARGIN

29.8%

2025 STORAGE DEPLOYMENT

46.7 GWh

Q2 2026 DEPLOYMENT

13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

08.4

Energy generation and storage (continued)

Business division deep dive — Profit engine.

COMPETITIVE DEPLOYMENT AND MARKET POSITION

- Tesla deployed 46.7 GWh in 2025 and a record 13.5 GWh in Q2 2026, according to Tesla data reported on 8 February 2026 and Tesla Investor Relations on 2 July 2026.
- BYD shipped more than 60 GWh in 2025 and held 13% of the global BESS-integrator market under Benchmark Mineral Intelligence's methodology, according to Electrek on 13 May 2026.
- Tesla held 10% of the 2025 global BESS-integrator market under Benchmark Mineral Intelligence's methodology, according to Electrek on 13 May 2026.
- Wood Mackenzie ranked Tesla first, Sungrow second and BYD third among global BESS integrators for 2025 in reporting published on 6 July 2026.
- LG Electronics held an estimated 16% of the global residential energy-storage market in 2025, behind Tesla at 21%, according to Straits Research on 13 July 2026.
- Enphase represented 16.6% of US residential battery installation quotes and SolarEdge 9.9% as of 18 August 2026, compared with Tesla at 65%, according to AgentSolar AI.

REPORTED PROFIT SUPPORTS THE FRANCHISE, WHILE WARRANTY VOLATILITY LIMITS CONFIDENCE

Tesla's verified FY2025 Energy generation and storage gross profit was USD 3.802bn on USD 12.771bn of external revenue, according to page 97 of its FY2025 Form 10-K. This produces a calculated gross margin of approximately 29.8%. The segment generated 22.2% of group gross profit from only 13.5% of group revenue, making it more gross-profit-intensive than Automotive in 2025. Reported profit provides a firmer valuation base than market-growth forecasts alone. It also means storage-margin pressure can materially affect Tesla despite the segment's lower revenue than Automotive.

Q2 2026 Energy gross margin fell from 39.5% in Q1 to 20.4%, mainly due to a USD 240m warranty true-up for vendor cell issues, according to Tesla earnings-call reporting by ESS News on 23 July 2026. The 19.1-percentage-point sequential decline shows both the earnings power of a favourable quarter and the volatility from product and supplier obligations. Treating the charge as permanently recurring would understate normalised economics, but excluding it would ignore supplier-quality and reserve risk. The USD 4.0bn 2028 EBITDA assumption requires recovery from Q2 but does not assume the Q1 margin peak is sustainable. Warranty expense per deployed GWh is important, although Tesla does not disclose it separately.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

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FY2025 GROSS MARGIN

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2025 STORAGE DEPLOYMENT

46.7 GWh

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13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

08.4

Energy generation and storage (continued)

Business division deep dive — Profit engine.

CUSTOMER ECONOMICS SUPPORT DEMAND, BUT LOWER BATTERY COSTS REDISTRIBUTE VALUE

BloombergNEF reported on 18 February 2026 that global benchmark cost for a four-hour battery project fell 27% year on year to USD 78/MWh in 2025. Lower system costs expand projects that can replace peaking plants, manage congestion, avoid demand charges or absorb curtailed renewable generation. Charles River Associates estimated on 12 August 2025 that battery storage displaced roughly half of the natural-gas generation used for California's evening peak ramp, reducing it from approximately 9–10 GW to 5 GW in April 2024. IRENA reported on 2 July 2026 that renewable deployment avoided approximately USD 480bn of global fossil-fuel costs in 2025. These benefits support demand, but competition can pass battery-cost declines to project buyers.

Storage earns through market-specific revenue stacks as well as equipment sales. Modo Energy reported on 13 July 2026 that top-quartile ERCOT BESS operators generated annualised USD 38,145 per MW in April 2026 from co-optimised energy and ancillary services. Bates White Economic Consulting estimates reported on 30 October 2025 indicated that ERCOT's Dispatchable Reliability Reserve Service could provide up to USD 1.7bn of annual revenue to qualifying four-hour resources. FERC Order 2222 implementation is scheduled across major US markets, with ISO New England targeting 1 November 2026 according to FERC and ISO-NE information published on 25 September 2025. These mechanisms support customer investment, but Tesla does not isolate Autobidder or other software economics. No separate software value is added.

PRODUCT-PRICE COMPARISONS REQUIRE CONSISTENT SCOPE

AgentSolar AI estimated on 18 August 2026 that Tesla Megapack installed cost was approximately USD 983 per kWh, versus approximately USD 1,510 per kWh for an Enphase IQ Battery. These figures are not directly comparable with the USD 235 per kWh Megapack volume-product quote because installed projects can include power conversion, civil works, interconnection, development and other balance-of-system costs. Utility-scale and residential products also differ in use case, distribution, installation and service. The gap between equipment and installed cost shows both integration opportunity and how much project value may sit outside battery manufacturing. Tesla captures it only where contracts include those activities.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

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2025 STORAGE DEPLOYMENT

46.7 GWh

Q2 2026 DEPLOYMENT

13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

08.4

Energy generation and storage (continued)

Business division deep dive — Profit engine.

The report's calculation shows why scope matters. A 1 GWh project at the USD 235 per kWh product quote represents USD 235m of equipment value. At USD 983 per kWh installed cost, the same capacity represents USD 983m. The USD 748m difference is not automatic Tesla revenue because it can include third-party construction, land, grid work and development expense. Conversely, comparing Tesla's reported revenue only with cell or pack cost may understate integration and service. Gross profit per deployed kWh would resolve much of this uncertainty, but cannot be reconstructed without deployment-linked revenue and cost disclosure.

VALUATION IS SUPPORTED BY REPORTED PROFIT, NOT ONLY MARKET GROWTH

The target bridge applies 18.0x to assumed 2028 EBITDA of USD 4.0bn, producing USD 72.0bn of EV. The current-market decomposition assigns USD 90.0bn of Tesla's controlled USD 1,277,246m EV to Energy generation and storage. On the same USD 4.0bn EBITDA assumption, that equals 22.5x. A premium to commodity industrial equipment is supported by Tesla's reported segment profitability, global deployment scale, integrated products and potential software attachment. The discount to current allocation reflects warranty volatility, interconnection constraints and strong Chinese competition.

Each additional USD 1.0bn of sustainable EBITDA is worth USD 18.0bn at the target multiple. Dividing USD 18.0bn by the immutable 3,950m controlled share count gives approximately USD 4.56 per share before EV-to-equity bridge adjustments. A USD 1.0bn shortfall removes the same EV. The target is therefore highly sensitive to whether FY2025's approximately 29.8% gross margin can persist at larger deployment scale. High GWh growth without stable gross profit per kWh would not support a higher EBITDA base.

WHAT WOULD BREAK THE CASE

The upside case requires annual deployment above 80 GWh, normalised gross margin above 25% and contained warranty charges. At the USD 235 per kWh product-price reference, 80 GWh equals a derived USD 18.8bn of product value before solar, installation and services, although revenue depends on mix and timing. Evidence that Lathrop and other facilities sustain this volume without proportionately higher working capital would support the USD 4.0bn EBITDA target and 18.0x multiple. Separately disclosed recurring Autobidder or service profit would provide further upside, but the report does not capitalise it without evidence. Customer revenue opportunities improve demand visibility but do not alone prove Tesla can retain margin.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

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Q2 2026 DEPLOYMENT

13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

08.4

Energy generation and storage (continued)

Business division deep dive — Profit engine.

The downside case is cell-cost deflation being competed away, interconnection delays stranding capacity, or repeated warranty provisions keeping gross margin near 20%. Higher deployment with lower segment gross profit would show Tesla is buying share rather than compounding value. Supplier-related warranty charges would be particularly concerning if they recur across product generations, as long-duration storage obligations can emerge after revenue recognition. The best early indicator is gross profit per deployed kWh, followed by warranty expense, deployment timing and segment working-capital intensity. Until Tesla discloses the first measure, deployment and verified segment gross margin must be assessed together.

ENERGY GENERATION AND STORAGE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

USD 3,802m

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2025 STORAGE DEPLOYMENT

46.7 GWh

Q2 2026 DEPLOYMENT

13.5 GWh

2026 GLOBAL BESS MARKET

215 GWh est.

Q2 2026 GROSS MARGIN

20.4%

TARGET BRIDGE

18.0x 2028E EBITDA

BATTERY-STORAGE SCALE AND PROFITABILITY

COMPANY	DEPLOYMENT OR MARKET POSITION	PROFITABILITY OR PRODUCT EVIDENCE	SOURCE AND DATE
Tesla	46.7 GWh deployed in 2025; 13.5 GWh in Q2 2026	FY2025 revenue USD 12.771bn and gross profit USD 3.802bn; Q2 2026 gross margin 20.4%	Tesla data reported 8 February 2026; Tesla Investor Relations, 2 July 2026; Tesla FY2025 Form 10-K, page 97; ESS News, 23 July 2026
BYD	More than 60 GWh shipped in 2025; 13% global BESS-integrator share under Benchmark's methodology	Ranked first by Benchmark but third by Wood Mackenzie for 2025	Benchmark Mineral Intelligence via Electrek, 13 May 2026; Wood Mackenzie reporting, 6 July 2026
Sungrow	Ranked second among global BESS integrators for 2025	Specific share and comparable segment-profit figures were not provided in the evidence register	Wood Mackenzie reporting, 6 July 2026
LG Elec	Estimated 16% of the global residential energy-storage market in 2025	Second to Tesla's estimated 21% under the cited residential-market methodology	Straits Research, 13 July 2026

08.5

Current autonomy software and pilot mobility services

Business division deep dive — Profit engine.

PAID DRIVER ASSISTANCE COMPETES FOR VEHICLE SOFTWARE AND DRIVER TIME

The broad displaced pool is the USD 2,789.2bn annual passenger-car market, but current FSD remains supervised software and cannot capture driver wages or ownership costs available to an unsupervised platform. The near-term market is the eligible installed Tesla fleet's willingness to pay for convenience and safety. Global Market Insights estimated the autonomous-driving software market at only USD 2.7bn in 2025. This definition is too narrow for future mobility, but shows Tesla's existing user base is material. Our valuation uses actual users and price rather than a share of a speculative market.

Tesla reported 1.48m active FSD users in Q2 2026. With 45% on subscription and a USD 99 monthly US price, the report estimates annual recurring subscription revenue of USD 791m: 1.48m multiplied by 45%, USD 99 and 12 months. We add USD 941m of expected annual recognition indicated by the Q1 deferred-revenue disclosure, producing USD 1.7 billion of modelled revenue. This is not separately reported revenue and may overlap geographically or temporally with package recognition. The bridge therefore values EBITDA rather than applying an aggressive revenue multiple.

ADOPTION HAS IMPROVED, BUT PAID-USER DEFINITIONS MATTER

North American subscription attach rates on new deliveries exceeded 55% in Q2 2026, stronger than the historical view of low software adoption. The 1.48m user count includes monthly subscribers and historical upfront purchasers, so it cannot be multiplied in full by USD 99. The disclosed mix shifted from 70% upfront in Q4 2025 to 55% upfront in Q2 2026. These figures reflect different dates, and the subscription-only transition changed the flow mix. The later Q2 mix receives greater weight because it directly reconciles the active-user base.

- Tesla: 1.48m active paid users in Q2 2026 and more than 55% attach on new North American deliveries.
- Mobileye: technology-supplier model; 2026E EV/Sales of 4.9x but negative EBIT.
- Horizon Robotics: 23.0% of China's L2+ Highway NOA segment in Q4 2025.
- Waymo: leading commercial autonomy position, but current software is not sold as consumer L2.

Deferred revenue was USD 4.05bn at 30 June 2026, versus USD 4.00bn at 31 March, with USD 941m expected for recognition over the following year. These are sequential disclosures, not a conflict. Growth in the balance alongside recognition would indicate continuing paid adoption. A decline could mean historical upfront packages are running off faster than subscriptions replace them. The monthly model improves transparency and recurrence, but makes churn and feature satisfaction visible.

CURRENT AUTONOMY SOFTWARE AND PILOT MOBILITY SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,732m

MODEL ESTIMATE GROSS PROFIT
USD 1,386m

ACTIVE PAID FSD USERS
1.48m

SUBSCRIPTION PRICE
\$99/month

SUBSCRIPTION MIX
45% in Q2 2026

NA NEW-DELIVERY ATTACH
>55%

DEFERRED REVENUE BALANCE
\$4.05bn

MODELLED FY2025 REVENUE
\$1.73bn

SUPERVISED FSD MILES
10bn by May 2026

TARGET BRIDGE
25.0x 2028E EBITDA

Current autonomy software and pilot mobility services (continued)

08.5

Business division deep dive — Profit engine.

SAFETY EVIDENCE IS DIRECTIONAL, NOT YET ECONOMICALLY CONCLUSIVE

Tesla reported 10bn cumulative supervised FSD miles by May 2026, an unusually large data base. Netherlands demonstrations indicated 1.6x better safety than manual driving on non-highway roads, but supervised safety is not unsupervised performance because a human remains responsible for intervention. Independent AMCI testing of older v12.5 software found intervention every 13 miles. Crowdsourced v14 data indicated 1,454 miles between critical disengagements. Neither is definitive because versions, intervention definitions and sampling methods differ.

Current-software valuation does not require Level 4 approval. It requires subscribers to see enough value at USD 99 per month to retain the service after trials, and recognised software gross profit to remain high after inference, support, legal and development costs. A 70% 2028 EBITDA margin on approximately USD 3.6bn of software and pilot revenue produces the USD 2.5 billion EBITDA used in the bridge. At 25.0x, the division is worth USD 62.5 billion. The premium reflects recurrence but remains below the consolidated historical EV/EBITDA average of 101.83x.

REGULATORY EXPANSION ENLARGES THE ELIGIBLE PAYING FLEET

The Netherlands was the first European country reported to activate FSD in April 2026, while Tesla targeted China approval in Q3 2026. The earlier February or March 2026 target was missed, so the Q3 target receives less probability weight until formal permission is granted. Europe and China matter to current software before unsupervised service because a larger eligible fleet expands subscriptions without Tesla owning vehicles. National approval does not automatically create harmonised European deployment.

Our market-value chart assigns USD 50 billion of controlled current EV to this division, below the USD 62.5 billion target value. This is one of the few divisions where our target allocation exceeds the residual current allocation, reflecting visible users, price and deferred revenue. The upside is measurable: an additional 500,000 subscribers at USD 99 monthly adds USD 594m of annual revenue before churn and local pricing. At a 70% EBITDA margin and 25.0x, this adds USD 10.4 billion of EV, or approximately USD 2.63 per share.

CURRENT AUTONOMY SOFTWARE AND PILOT MOBILITY SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 1,732m

MODEL ESTIMATE GROSS PROFIT

USD 1,386m

ACTIVE PAID FSD USERS

1.48m

SUBSCRIPTION PRICE

\$99/month

SUBSCRIPTION MIX

45% in Q2 2026

NA NEW-DELIVERY ATTACH

>55%

DEFERRED REVENUE BALANCE

\$4.05bn

MODELLLED FY2025 REVENUE

\$1.73bn

SUPERVISED FSD MILES

10bn by May 2026

TARGET BRIDGE

25.0x 2028E EBITDA

Current autonomy software and pilot mobility services (continued)

08.5

Business division deep dive — Profit engine.

WHAT BREAKS THE CASE

The case weakens if the 55% new-delivery attach rate proves promotional, subscription churn rises after initial use, or regulators restrict supervised functionality after safety events. It strengthens if active paid users exceed 3m while the deferred balance grows and service costs remain low. The main disclosure gap is retention: a user count without cohort churn cannot distinguish durable subscription value from repeated trials. Until retention is disclosed, the multiple, not user arithmetic, is the main uncertainty.

CURRENT AUTONOMY SOFTWARE AND PILOT MOBILITY SERVICES FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 1,732m

MODEL ESTIMATE GROSS PROFIT
USD 1,386m

ACTIVE PAID FSD USERS
1.48m

SUBSCRIPTION PRICE
\$99/month

SUBSCRIPTION MIX
45% in Q2 2026

NA NEW-DELIVERY ATTACH
>55%

DEFERRED REVENUE BALANCE
\$4.05bn

MODELLED FY2025 REVENUE
\$1.73bn

SUPERVISED FSD MILES
10bn by May 2026

TARGET BRIDGE
25.0x 2028E EBITDA

CURRENT PAID AUTONOMY AND ADAS BENCHMARKS			
PLATFORM	PAID SCALE	PRICE OR MODEL	LATEST EVIDENCE
Tesla FSD	1.48m users Q2 2026	\$99/month US	>55% NA new attach
Waymo	500k rides/week Jul	\$15–17/ride est.	Commercial L4
Mobileye	OEM supply model	Per-system licensing	2026E EBIT -57.9%
Horizon Robotics	23% China L2+ Q4 25	OEM supply model	Highway NOA

08.6

Supercharging network

Business division deep dive — Profit engine.

CHARGING COMPETES FOR TRANSPORT -ENERGY SPENDING RATHER THAN CHARGER HARDWARE ALONE

Global diesel-fuel spending was projected at USD 1,142.6bn in 2026 by Grand View Research, illustrating the transport-energy pool electrification can displace, although passenger charging captures only part of it. Published 2026 charging-market estimates range from USD 22.93bn to USD 59.94bn because some include equipment, installation and services while others measure stations. The valuation does not select the highest estimate. It uses Tesla's modelled USD 3.6bn annual charging run rate and values the resulting EBITDA.

Tesla had 82,357 stalls at 8,704 stations in Q2 2026, versus 73,817 connectors at September 2025. The network delivered 6.7 TWh in 2025, equal to about 81 MWh per current stall, although the average installed base was lower. More than 268 kWh per stall per day annualises to 97.8 MWh. At assumed realised revenue of USD 0.37 per kWh, this supports approximately USD 36,200 of revenue per stall and USD 2.98bn across 82,357 stalls. Memberships, idle fees and continued expansion make the USD 3.6bn external estimate plausible.

DENSITY AND STANDARDISATION ARE THE MOAT; UTILISATION DETERMINES PROFIT

Tesla ranked first in US DC fast charging, while Electrify America and ChargePoint were estimated at 7.9% and 6.9%. Tesla accounted for 45% of US fast-charger port additions in Q3 2025, reinforcing network density. NEVI's April 2026 NACS compatibility requirement reduces connector risk and could expand demand for Tesla's standard. Europe is more fragmented, while China is led by TELD at 19% of public units and Star Charge at 16.9%.

- Tesla: 82,357 global stalls in Q2 2026 and 6.7 TWh delivered in 2025.
- EVgo: 5,280 stalls in Q1 2026 and 22% LTM gross margin.
- IONITY: more than 5,000 points across 600 European stations in June 2026.
- ChargePoint: 31% Q2 FY2026 GAAP gross margin, primarily a host-owned model.

A 15% daily-occupancy benchmark is commonly associated with DC fast-charger profitability. Tesla's reported 268 kWh per day divided by theoretical 24-hour output is not useful because vehicles do not charge continuously at nameplate power. At an assumed average delivered session power of 80 kW, 268 kWh equals 3.35 occupied hours, or 14.0% of the day, close to the profitability threshold. This estimate shows why location density and turn time matter more than headline 500 kW V4 capability.

SUPERCHARGING NETWORK
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 3,600m

MODEL ESTIMATE GROSS PROFIT
USD 720m

GLOBAL STALLS
82,357 in Q2 2026

GLOBAL STATIONS
8,704

2025 ENERGY THROUGHPUT
6.7 TWh

THROUGHPUT PER STALL
>268 kWh/day

MODELLED REVENUE RUN-RATE
\$3.6bn

PROFITABILITY UTILISATION
15% benchmark

MODELLED GROSS MARGIN
20.0%

TARGET BRIDGE
18.0x 2028E EBITDA

08.6

Supercharging network (continued)

Business division deep dive — Profit engine.

CAPITAL COST EVIDENCE IS CONFLICTING BUT RECONCILABLE

An eight-stall Supercharger-for-Business site was quoted at about USD 940,000, or USD 117,500 per stall, including approximately USD 500,000 of hardware and USD 55,000 installation per post. A separate estimate placed Tesla's internal V4 infrastructure cost below USD 40,000 per stall. The figures likely use different scopes: turnkey customer cost includes site work and commercial margin, while internal hardware cost may exclude grid upgrades, land and installation. We use USD 80,000 per all-in new stall as a midpoint assumption.

At USD 80,000 per stall, 10,000 new stalls require USD 800m of capital. If each reaches USD 36,200 of revenue and a 25% EBITDA margin, annual EBITDA is USD 90.5m and the simple pre-tax return is 11.3%. This is adequate, but not exceptional, until utilisation matures or third-party hosts fund more installation. Charging therefore merits an infrastructure-growth multiple, not a pure software multiple.

VALUATION AND FAILURE CONDITIONS

Our 2028 EBITDA estimate is USD 1 billion on revenue approaching USD 4.5–5.0bn, implying a 20–22% margin. At 18.0x, EV is USD 18 billion. The current-market allocation is USD 17.2 billion, so charging is not the source of the valuation dispute. EVgo's 22% gross margin and ChargePoint's 31% gross margin provide useful benchmarks, but Tesla owns more physical infrastructure and therefore carries higher depreciation.

SUPERCHARGING NETWORK
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 3,600m

MODEL ESTIMATE GROSS PROFIT
USD 720m

GLOBAL STALLS
82,357 in Q2 2026

GLOBAL STATIONS
8,704

2025 ENERGY THROUGHPUT
6.7 TWh

THROUGHPUT PER STALL
>268 kWh/day

MODELLED REVENUE RUN-RATE
\$3.6bn

PROFITABILITY UTILISATION
15% benchmark

MODELLED GROSS MARGIN
20.0%

TARGET BRIDGE
18.0x 2028E EBITDA

08.6

Supercharging network (continued)

Business division deep dive — Profit engine.

The upside case requires third-party NACS traffic to raise throughput faster than capital spending, with mature sites exceeding 300 kWh per stall per day. The downside is utility demand charges, slow permitting and low utilisation outside dense corridors. A tariff war would also matter. IONITY's EUR 0.85/kWh Irish ad-hoc price and Tesla's EUR 0.57/kWh non-member European tariff show room for differentiation, but local electricity costs prevent a single global margin assumption.

SUPERCHARGING NETWORK
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
USD 3,600m

MODEL ESTIMATE GROSS PROFIT
USD 720m

GLOBAL STALLS
82,357 in Q2 2026

GLOBAL STATIONS
8,704

2025 ENERGY THROUGHPUT
6.7 TWh

THROUGHPUT PER STALL
>268 kWh/day

MODELLED REVENUE RUN-RATE
\$3.6bn

PROFITABILITY UTILISATION
15% benchmark

MODELLED GROSS MARGIN
20.0%

TARGET BRIDGE
18.0x 2028E EBITDA

FAST-CHARGING NETWORK ECONOMICS

OPERATOR	NETWORK SCALE	MARGIN INDICATOR	POSITION
Tesla	82,357 stalls Q2 26	20% modelled GM	#1 US DC fast charge
EVgo	5,280 stalls Q1 26	22% LTM gross margin	US DCFC
IONITY	5,000+ points Jun 26	€0.85/kWh Ireland	24 European countries
ChargePoint	Host-owned network	31% Q2 FY26 GM	6.9% US DCFC est.

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Vehicles create the installed fleet for FSD and traffic for Supercharging. Software can support vehicle pricing, but only if retention and inference costs preserve high incremental margins.

Energy and charging require capital but create visible physical demand. Automotive manufacturing provides procurement, electronics and factory capabilities for Cybercab and Optimus. Failed ramps can strand the same capacity.

Cannibalisation is real. Low-cost robotaxis could reduce private vehicle ownership, while Cybercab and Optimus compete with core products for capital and management attention. The bridge values each revenue stream separately and adds no generic technology premium.

BRIDGE MECHANICS

Profit engines are valued using 2028 EBITDA and business-appropriate comparable multiples. Pre-revenue options use 2035 scale EBITDA, discounted at 7.0% and weighted by explicit success probabilities. The unlisted 65% remainder has zero value.

The controlled market EV is USD 1.28 trillion, versus our USD 478.9 billion target EV. Balance-sheet leverage does not explain the difference: 2026 net debt is negative USD 3.5 billion.

Tesla trades at 76.86x 2026 EV/EBITDA, versus a 5.8x peer median. Alphabet, which includes Waymo and highly profitable digital businesses, trades at 17.4x.

The reverse DCF requires USD 33.5 billion of 2026 EBITDA rather than USD 16.6 billion, and a terminal EBIT margin of 43.2%. Revenue assumptions change little; almost all of the gap is profitability.

Our target still values current FSD at 25.0x, energy at 18.0x and unproven options at USD 224.4 billion. Disagreement with the target can therefore focus on probabilities, not on treating Tesla as only an automaker.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear assumes 2028 revenue of USD 120 billion, EBITDA of USD 15 billion and a 12.5% margin. Automotive price competition offsets cost reductions, energy normalises near the Q2 margin, current FSD adoption slows, and both pre-revenue options are valued at zero.

Base uses maintained 2028 revenue of USD 144 billion and EBITDA of USD 25.6 billion. It applies the detailed business-division multiples and assigns robotaxi and Optimus a 35% total success probability each across three mutually exclusive scale outcomes.

Bull assumes USD 175 billion of revenue and USD 38.5 billion of EBITDA in 2028. It uses the strongest option legs rather than probability-weighted outcomes, requiring unrestricted autonomy in multiple jurisdictions, more than 95% Optimus uptime and stronger cash generation. Success-case net cash improves rather than remaining at the base level.

BOTTOM LINE

Tesla has four real profit engines and two potentially transformative options. The evidence supports value for all six, but the controlled market EV assigns more value to robotaxi and Optimus than current permissions, commercial scale and reliability data justify. The target is most sensitive to success probabilities, then automotive margin and energy warranty normalisation.

FINANCIAL BRIDGE · PART 1

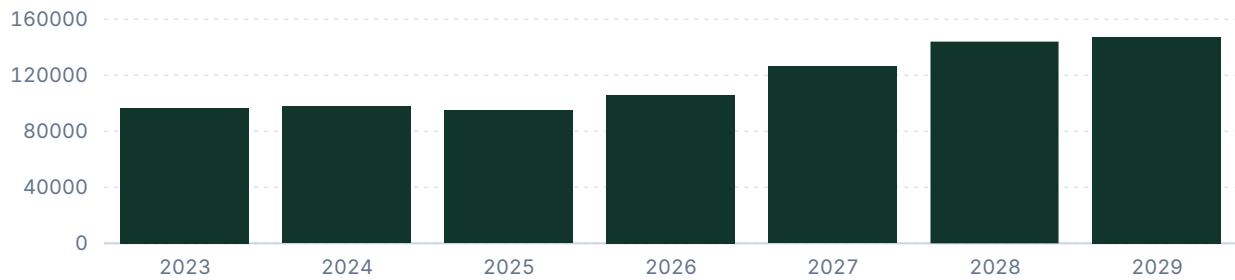
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

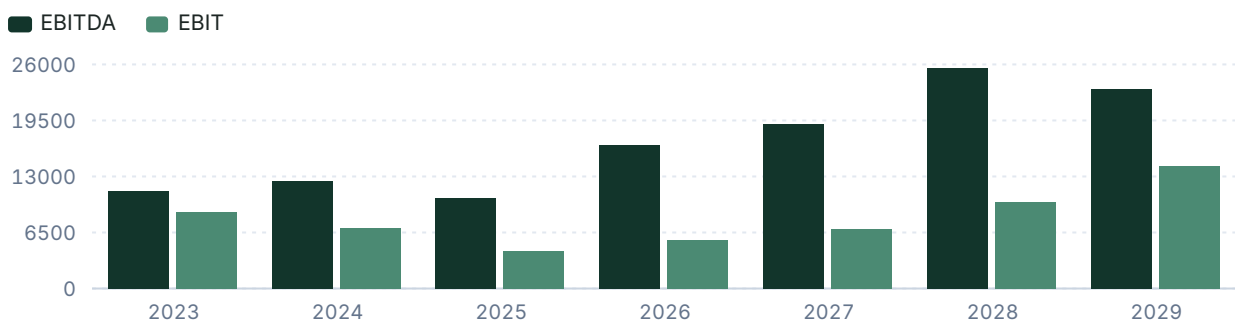
Net sales

USD millions



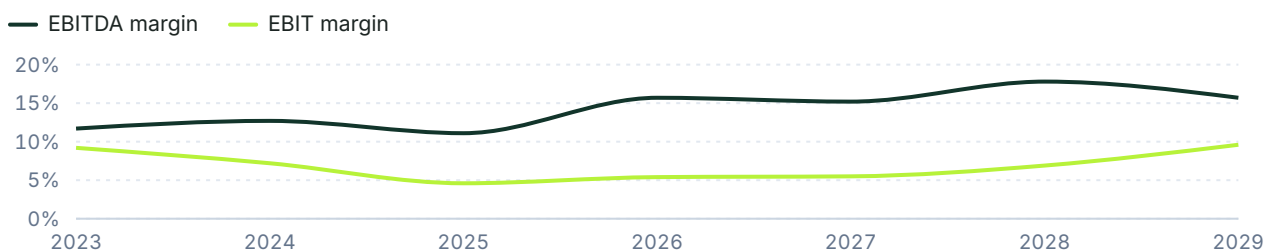
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

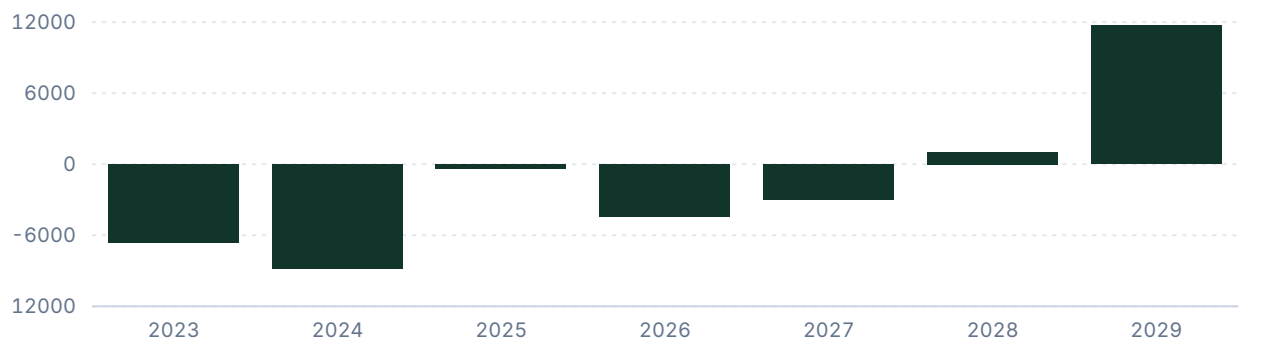
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

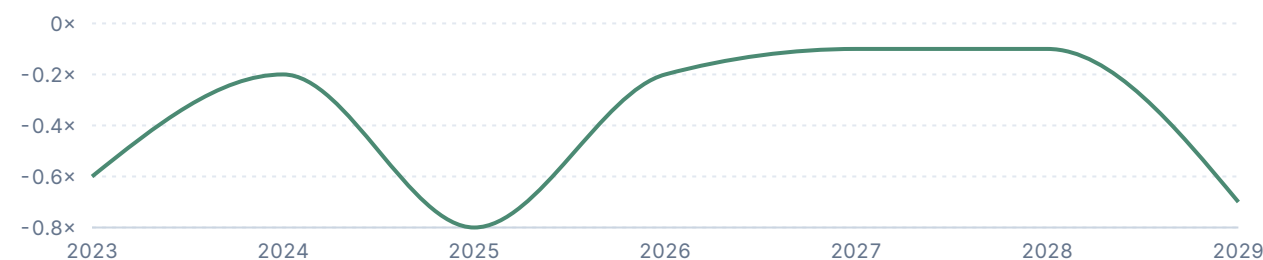
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	105,880	126,200	144,000	147,278
EBITDA	10,503	16,617	19,140	25,570	23,169
Comparable EBIT	4,355	5,672	6,890	9,980	14,179
Net Earnings	3,855	3,871	7,360	10,588	14,472
EPS (USD)	1.2	1.2	2.3	3.3	4.5
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is required because vehicle manufacturing, recurring software, charging infrastructure, storage and pre-revenue options have different margins and risk. Profit engines use 2028 EBITDA multiples within peer and own-history brackets; 12.0x core is above scaled automakers, while 18–25x rewards growth and recurrence. Robotaxi and Optimus use discounted 2035 EBITDA and explicit success probabilities. The sensitivity isolates the alternative consolidated EBITDA/multiple view.

What the market is pricing.

Our four profit engines are worth USD 254.5 billion and the two options USD 224.4 billion. The controlled USD 1.28 trillion EV therefore contains about USD 1.02 trillion after profit engines, 4.56x our option value. Holding option economics fixed, market probabilities would need to rise from 35% total per option to well above 100%, implying that the market also prices richer capture, margins or multiples.

The market assumes Robotaxi receives near-certain multi-market scale economics. We assign a different reading: We retain a 65% zero-value outcome and USD 119.9 billion target EV because Nevada permits only 10 vehicles and California lacked driverless permission. (Nevada Transportation Authority, 13 August 2026; California permit status, May 2026)

The market assumes Optimus converts labour TAM into high-margin revenue despite limited commercial proof. We assign a different reading: We assign USD 104.6 billion because no material productive work was confirmed and reliability remains below industrial benchmarks. (Tesla Q4 2025 earnings, February 2026; industry reliability comparison, November 2025)

The market assumes Consolidated margins approach software-platform levels without commensurate execution risk. We assign a different reading: The maintained model reaches only 9.6% EBIT margin in 2029; the reverse case requires 43.2% terminally. (Valuatum maintained model and reverse-valuation control scenario)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For Current autonomy software and pilot mobility services the two readings are 50 billion allocated and 108.6 billion warranted.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020A	2021A	2022A	2023A	2024A	2025A	2026E	NORM. AVG. 2020-2025 (OUTLIERS DROPPED)
P/E	763.78x	184.52x	30.57x	52.65x	180.49x	376.22x	267.91x	112.06x
P/E adj.	764x	185x	31x	53x	180x	376x	268x	112x
EV/EBITDA	161.11x	114.67x	22.14x	69.91x	104.64x	138.54x	76.86x	101.83x
EV/EBIT	348.72x	165.84x	28.22x	89.30x	184.02x	334.11x	225.18x	191.70x
EV/Sales	22.05x	20.10x	4.73x	8.20x	13.33x	15.34x	12.06x	13.96x
P/FCF	1841.87x	2055.23x	9835.96x	-118.91x	-146.87x	-3785.32x	-232.83x	1948.55x
P/BV	29.62x	34.53x	8.62x	12.59x	17.71x	17.66x	14.77x	20.12x
P/S	20.88x	19.37x	4.73x	8.15x	13.22x	15.29x	9.79x	13.61x

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON			
COMPANY	2026E EV/EBITDA	2026E EV/SALES	2026E EBIT MARGIN
Tesla	76.86x	12.06x	5.4%
Volkswagen	4.9x	0.6x	5.3%
Toyota	5.2x	0.5x	10.5%
Alphabet	17.4x	8.7x	33.7%
Uber	14.0x	2.8x	14.1%
Baidu	25.3x	3.5x	7.7%
Mobileye	-18.3x	4.9x	-57.9%
Peer median	5.8x	0.6x	7.7%

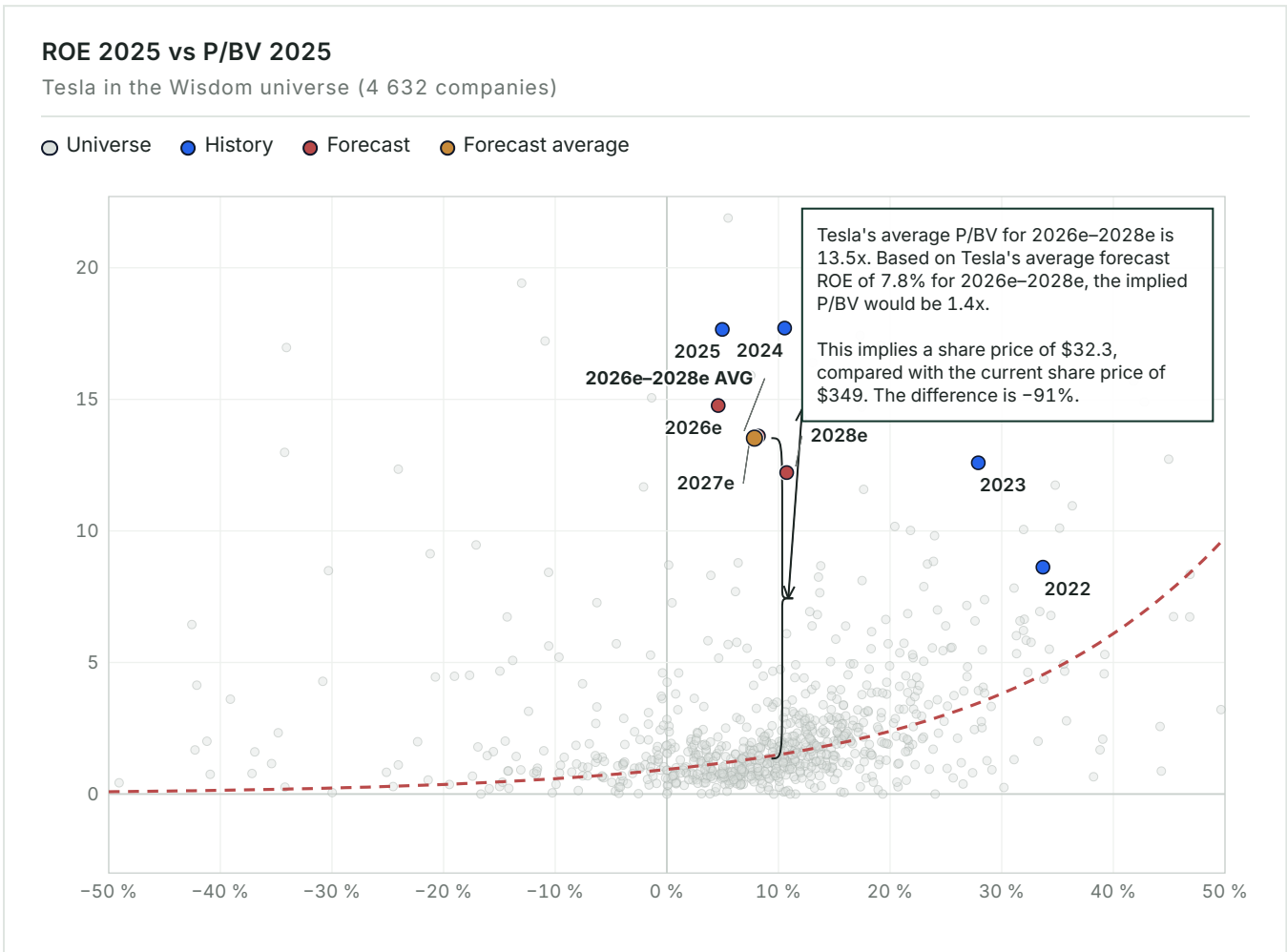
TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· Core automotive manufacturing and services	2028E Modelled EBITDA	8,500	12.0x	25.8 → 23.6 USD	
· Current autonomy software and pilot mobility services	2028E Modelled EBITDA	2,500	25.0x	15.8 → 14.5 USD	
· Supercharging network	2028E Modelled EBITDA	1,000	18.0x	4.6 → 4.2 USD	
· Energy generation and storage	2028E Modelled EBITDA	4,000	18.0x	18.2 → 16.7 USD	
· Scaled unsupervised autonomy and robotaxi platform (probability-weighted)	Expected enterprise value	n/a	n/a	27.5 USD	
· · 1% capture	2035E Modelled EBITDA	6,973	15.0x	26.5 → 2.6 USD	20% prob.
· · 5% capture	2035E Modelled EBITDA	48,811	18.0x	222.5 → 11.0 USD	10% prob.
· · 10% capture	2035E Modelled EBITDA	111,568	20.0x	565.0 → 13.9 USD	5% prob.
· Optimus general-purpose robotics (probability-weighted)	Expected enterprise value	n/a	n/a	24.0 USD	
· · 0.05% labour capture	2035E Modelled EBITDA	7,500	15.0x	28.5 → 2.8 USD	20% prob.
· · 0.20% labour capture	2035E Modelled EBITDA	36,000	18.0x	164.1 → 8.1 USD	10% prob.
· · 0.50% labour capture	2035E Modelled EBITDA	105,000	20.0x	531.7 → 13.1 USD	5% prob.
Sum of the parts	2028E/2035E Probability...	n/a	n/a	108.6 USD	100%
Weighted target price				108.6 USD	100%

VALUATION MAP

ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla's forecast-average ROE is 7.8%, against forecast-average P/BV of 13.5x. The 4,632-company universe curve implies 1.4x P/BV at that return, or USD 32.3 per share on USD 23.9 average forecast book value, 91% below the USD 348.5 quote. Book value understates internally developed options, but forecast accounting returns explain little of the valuation.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	267.9×
EV/EBITDA	76.9×
EV/EBIT	225.2×
P / Valuatum FOCF	-232.8×
P/BV	14.8×
Dividend Yield	—
Net Debt / EBITDA	-0.2×

EBITDA × EV/EBITDA sensitivity						
2028E EBITDA						
Implied EV/EBITDA	14.0×	16.0×	18.0×	20.0×	22.0×	
→						
-20%	USD 186,116m	USD 212,704m	USD 239,292m	USD 265,880m	USD 292,468m	
USD 13,294m	USD 45.30 / sh	USD 52.00 / sh	USD 58.70 / sh	USD 65.50 / sh	USD 72.20 / sh	
-10%	USD 209,370m	USD 239,280m	USD 269,190m	USD 299,100m	USD 329,010m	
USD 14,955m	USD 51.20 / sh	USD 58.70 / sh	USD 66.30 / sh	USD 73.90 / sh	USD 81.50 / sh	
Base	USD 232,638m	USD 265,872m	USD 299,106m	USD 332,340m	USD 365,574m	
USD 16,617m	USD 57.10 / sh	USD 65.50 / sh	USD 73.90 / sh	USD 82.30 / sh	USD 90.70 / sh	
+10%	USD 255,906m	USD 292,464m	USD 329,022m	USD 365,580m	USD 402,138m	
USD 18,279m	USD 63.00 / sh	USD 72.20 / sh	USD 81.50 / sh	USD 90.70 / sh	USD 100.00 / sh	
+20%	USD 279,160m	USD 319,040m	USD 358,920m	USD 398,800m	USD 438,680m	
USD 19,940m	USD 68.80 / sh	USD 78.90 / sh	USD 89.00 / sh	USD 99.10 / sh	USD 109.20 / sh	

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	120,000	15,000	12.5%	15.5×	232,952	225,683	USD 57.14	-83.6%
Base	144,000	25,570	17.8%	17.1×	436,284	429,016	USD 108.62	-68.8%
Bull	175,000	38,500	22.0%	61.5×	2,367,238	2,359,969	USD 597.53	+71.4%

KEY CONDITIONS

Bear assumes option failure and sustained manufacturing pressure. Base uses the probability-weighted SOTP. Bull uses the strongest autonomy and Optimus cases, faster energy growth and higher consolidated cash conversion. Bull also assumes accumulated cash from higher margins rather than leaving net debt at the base-case level. Each scenario uses the target-price bridge's own approach: profit engines as modelled, plus Scaled unsupervised autonomy and robotaxi platform and Optimus general-purpose robotics at zero in Bear, at probability-weighted value in Base, and at the best single case with certainty in Bull. The multiple column is the implied group EV/EBITDA, not a selected multiple. The code-verified 12-month target of USD 108.6 lies between Bear USD 57.1, Base USD 108.6 and Bull USD 597.5; method weights appear in the Target Price Bridge.

THESIS BREAKER

The bear-to-base risk is irrelevant if regulator-approved autonomy and productive robotics both reach commercial scale before 2030.

CATALYSTS

Monitoring checklist

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Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
China grants paid FSD activation	NEAR-TERM	Current autonomy software and pilot mobility services	Formal approval and subscriber conversion	Raises eligible fleet and recurring software revenue
Cybercab begins public Austin service	NEAR-TERM	Scaled unsupervised autonomy and robotaxi platform	Paid rides, safety driver status and wait time	Tests permission, demand and unit economics
Nevada authorises fleet expansion above 10	MEDIUM-TERM	Scaled unsupervised autonomy and robotaxi platform	NTA approval and operating constraints	Raises success probability
Energy margin normalises after warranty true-up	NEAR-TERM	Energy generation and storage	Gross margin and warranty provision	Supports \$4.0bn 2028 EBITDA
Automotive margin remains above 16% ex-credits	NEAR-TERM	Core automotive manufacturing and services	Gross margin excluding regulatory credits	Protects manufacturing floor
Optimus completes six months of useful work	MEDIUM-TERM	Optimus general-purpose robotics	Uptime, interventions and cycle time	Converts demonstration into commercial evidence
Charging throughput exceeds 300 kWh per stall/day	MEDIUM-TERM	Supercharging network	Energy delivered per stall and third-party mix	Improves return on installed capital
READ - THROUGH A material rerating requires permission and operating evidence. Cybercab launch, Nevada fleet expansion and comparable driverless safety data would raise robotaxi probabilities. Optimus needs sustained useful work, disclosed uptime and external willingness to pay. Installing a production line alone is not a valuation milestone.				

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Global EV price competition	Core automotive manufacturing and services	ASP declines faster than manufacturing cost	Auto gross margin ex-credits below 16%	HIGH	STRUCTURAL
Driverless approval remains geographically constrained	Current autonomy software and pilot mobility services	Fleet and eligible-user growth remains capped	California permit delay or Nevada cap retained	HIGH	THESIS BREAKER
Remote assistance prevents low-cost scaling	Scaled unsupervised autonomy and robotaxi platform	Human oversight raises cost per paid mile	No intervention-rate disclosure	HIGH	STRUCTURAL
Storage warranty and supplier defects recur	Energy generation and storage	Warranty provisions reduce gross profit	Margin remains near 20%	MEDIUM	MANAGEABLE
Optimus reliability remains below industrial needs	Optimus general-purpose robotics	Supervision erases customer labour savings	Training use continues without uptime data	HIGH	THESIS BREAKER
Charging utilisation lags network capex	Supercharging network	Low throughput depresses site returns	Throughput below 268 kWh per stall/day	MEDIUM	MANAGEABLE
Capital intensity delays free cash flow	Scaled unsupervised autonomy and robotaxi platform	AI, fleet and plant spending outrun operating cash	FCFF remains negative after 2028	HIGH	THESIS BREAKER

READ-THROUGH

The most adverse combination is weak automotive cash generation and delayed autonomy approval. The main upside risk to SELL is the opposite: manufacturing stabilises while driverless permissions, safety evidence and robot utilisation arrive faster than the probability-weighted bridge assumes.

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	96,773	97,690	94,827	105,880	126,200	144,000
EBITDA	11,358	12,444	10,503	16,617	19,140	25,570
EBITDA margin	11.7%	12.7%	11.1%	15.7%	15.2%	17.8%
Depreciation	-2,467	-5,368	-6,148	-10,945	-12,250	-15,590
Operating Profit (EBIT)	8,891	7,076	4,355	5,672	6,890	9,980
EBIT margin	9.2%	7.2%	4.6%	5.4%	5.5%	6.9%
Net financial items	1,082	1,914	923	-282	1,000	1,370
Pre-tax Profit	9,973	8,990	5,278	5,390	7,890	11,350
Net Earnings	14,976	7,153	3,855	3,871	7,360	10,588
PER SHARE						
EPS	4.7	2.2	1.2	1.2	2.3	3.3
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	45,123	51,507	40,643	49,036	58,447	66,690
Intangibles	362	1,226	135	151	180	205
Goodwill	253	244	257	257	257	257
Non-current assets	50,269	57,186	62,239	70,648	80,087	88,356
Inventories	13,626	12,017	12,392	13,552	16,153	18,431
Receivables	19,592	30,204	39,737	40,158	41,117	41,957
Cash & equivalents	16,398	16,139	16,513	18,107	21,582	24,626
Current assets	49,616	58,360	68,642	71,817	78,852	85,014
Total Assets	106,618	122,070	137,806	149,390	165,864	180,296
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	86,736	94,096	104,684
Long-term debt	2,682	5,535	6,736	7,313	10,083	10,440
Short-term debt	1,975	2,343	1,640	7,313	10,084	10,440
Long-term liabilities	9,345	13,824	23,227	23,804	26,574	26,931
Current liabilities	28,748	28,821	31,714	38,850	45,194	48,681
Total liabilities & equity	106,618	122,070	137,806	149,390	165,864	180,296
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	-3,481	-1,415	-3,745
Capital invested	51,868	65,419	74,728	83,255	92,681	100,939
Equity ratio	59.7%	60.4%	60.1%	58.1%	56.7%	58.1%
Gearing	-10.7%	-3.4%	-9.8%	-4.0%	-1.5%	-3.6%
Net debt / EBITDA	-0.6×	-0.2×	-0.8×	-0.2×	-0.1×	-0.1×
Current ratio	1.7	2	2.2	1.9	1.7	1.8

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	10,553	3,171	3,691	14,697	19,624	26,190
Operating cash flow (Valuatum calculation)	3,263	1,868	2,616	14,900	18,691	24,912
Change in working capital	7,474	9,298	6,312	118	-13	-12
INVESTING & FREE CASH						
Gross capex	11,643	12,285	11,201	19,354	21,690	23,859
Capex (ex. M&A)	-11,643	-12,285	-11,201	-19,354	-21,690	-23,859
Cash after capex (CFO - gross capex)	-1,090	-9,114	-7,510	-4,656	-2,066	2,331
Free operating cash flow (Valuatum def.)	-6,634	-8,791	-383	-4,454	-2,999	1,053
Free cash flow to firm	-6,632	-8,791	-383	-4,454	-2,999	1,053
FINANCING						
CF from financing	8,306	8,594	8,285	6,250	5,541	713
Dividends paid	—	—	—	—	—	—
Net change in cash	7,216	-520	775	1,594	3,475	3,044

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	22,387	28,236	27,500	27,757
EBITDA	2,531	398	4,500	9,188
EBITDA margin	11.3%	1.4%	16.4%	33.1%
Comparable EBIT	941	398	3,000	1,333
EBIT margin	4.2%	1.4%	10.9%	4.8%
Net Earnings	491	1,128	1,483	769
EPS	0.2	0.4	0.5	0.2

E = ValuatUM estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12823, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, TSLA financialmodelingprep.com	MARKET DATA	Price chart & market facts
Tesla, Inc. Annual Report on Form 10-K for the Fiscal Year...	ir.tesla.com/.../tsla-20251231-gen.pdf	OFFICIAL SOURCE	Reported segment table
Tesla released its second quarter 2026 financial results, r...	ir.tesla.com	OFFICIAL SOURCE	Tesla Investor Relations /...
Tesla FSD software adoption reached a specific paid custome...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla Q2 2026 Earnings Call...
Tesla's FSD subscription cost is standardized across the US...	vertexaisearch.cloud.google.com	OFFICIAL SOURCE	Tesla via BASENOR
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